

INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF ALLIANCE FINANCE COMPANY PLC

Opinion

We have audited the financial statements of Alliance Finance Company PLC ("the Company"), and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31, 2019, and the statement of profit or loss and comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at March 31, 2019, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards ("SLAuS"). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka ("Code of Ethics") and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.



INDEPENDENT AUDITOR'S REPORT (CONTINUED)

Key Audit Matter	How our audit addressed the key audit matter
(i) Impairment allowance of loans and receivables including Group's transition to Sri Lanka Financial Reporting Standard 9 Financial Instruments (SLFRS 09): Our audit considered impairment allowance for loans and receivables as a key audit matter. The materiality of the reported amounts for loans and receivables (and impairment allowance thereof), the subjectivity associated with management's impairment estimation and the transition to SLFRS 9 reasoned for our basis to consider this as a key audit matter. As at 31 March 2019, 80% of its total assets of the Group consisted of loans and receivables amounting to Rs.25,366,587,613/- (Note 25 to 27), net of impairment allowance of Rs.1,250,530,365/-(Note 25 to 27). The impact on transition to SLFRS 09 on the Group's financial statements has been quantified and presented in Note 6 of the financial statements. The estimation of impairment allowance for loans and receivables involved complex manual calculations. Significant management estimations and assumptions used by the management in such calculations and the basis for impairment allowance are disclosed in Note 4.4.7, 25.4, 26.2 and 27.2.	To assess the reasonableness of the impairment allowance, our audit procedures were designed to obtain sufficient and appropriate audit evidence, included the following: - We evaluated design, implementation and operating effectiveness of controls over estimation of impairment of loans and receivables, which included assessing the level of oversight, review and approval of impairment policies by the management.' - We checked the underlying calculations and data. In addition to the above following procedures were performed. For individual impairment: - We tested controls over the timely identification of potentially impaired loans and receivables. - We tested sample of loans and receivables to ascertain whether the loss event (the point at which impairment is recognized) had been identified in a timely manner. - Checked the valuation of securities on a sample basis to support the calculation of the impairment by comparing estimates to external evidence available. - We assessed the reasonableness of management's estimated future recoveries including the expected future cash flows, discount rates and the valuation of collateral held. We also compared the actual recoveries against previously estimated amounts of future recoveries.



INDEPENDENT AUDITOR'S REPORT (CONTINUED)

Key Audit Matter	How our audit addressed the key audit matter
ii) Other assets and other liabilities (Control Accounts) In the finance environment, depending on the underlying nature and contractual terms of individual transactions, they will have varying settlement periods. As a result, at any given point in time, there will be unsettled and/or unmatched balances. These are held temporarily within various accounts referred to as control accounts. Such control accounts are disclosed within other assets and other liabilities. The balances in these control accounts are significant and need to be cleared within predetermined timeframes applicable to each balance ("accepted business rules"). Clearing these balances involves manual processes. Manual intervention is needed where balances are not automatically matched by the Company. This area was a matter of significance to our audit because, by their nature, manual processes are prone to human error and if not performed effectively or within accepted business rules, the Group/Company could potentially be exposed to significant losses which could remain unidentified.	collective impairment: - We assessed the completeness of the underlying information in loans and receivables used in the impairment calculations by agreeing details to the Group's sources of documents and information as well as re-performing the calculation of impairment allowance. - We also considered reasonableness of macro-economic and other factors used by management in their judgmental overlays for various types of loan portfolios, by comparing them with publicly available data and information sources. - We assessed the adequacy of the related financial statement disclosures set out in Note 25, 26 and 27. - We also assessed the adequacy of the Group's disclosures on the impact of the initial adoption of SLFRS 09 as set out in Note 6. This included testing of the quantitative impact of the transition. - We tested controls over identification of control account balances and subsequent clearance of these balances. - We checked a sample of period-end reconciliations of material control account balances by corroborating the reconciling items to the supporting documents and checking subsequent clearance of these reconciling items. - We tested a sample of items appearing in the exception reports on aged balances within these control accounts to consider whether the items are within the accepted business rules, to identify any potential loss accounts.



INDEPENDENT AUDITOR'S REPORT (CONTINUED)

Other Information

The Directors are responsible for the other information. The other information comprises the Corporate Governance, Global Reporting Initiative (GRI) and Report by the Board on Internal Controls included in the annual report, which we obtained prior to the date of this auditor's report, and the Chairman's Review and Deputy Chairman/ Managing Director's Review reports, which are expected to be made available to us after that date.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors and Those Charged with Governance for the Financial Statements

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards and for such internal control as the Directors determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The Directors and those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.



INDEPENDENT AUDITOR'S REPORT (CONTINUED)

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuS will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.



INDEPENDENT AUDITOR'S REPORT (CONTINUED)

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2256.



Edirisinghe & Co.,
Chartered Accountants
Colombo
26th June 2019



Alliance Finance Company PLC
STATEMENT OF PROFIT OR LOSS
For the year ended 31st March 2019

	Notes	Company 2019 Rs.	2018 Rs.	Group 2019 Rs.	2018 Rs.
Gross Income	7	7,246,864,944	6,872,124,417	7,327,326,765	6,913,712,166
Interest income		6,832,724,997	6,478,637,880	6,835,674,145	6,481,420,530
Interest expenses		(3,244,034,169)	(3,206,900,561)	(3,244,034,169)	(3,202,130,796)
Net Interest Income	8	3,588,690,828	3,271,737,319	3,591,639,976	3,279,289,734
Fee and commission income		180,053,256	202,891,784	257,538,486	279,284,773
Fee and commission expenses		(214,596,424)	(161,977,815)	(214,822,571)	(161,985,713)
Net Fee and Commission Income	9	(34,543,168)	40,913,969	42,715,915	117,299,060
Net gain/(loss) from trading	10	(34,804,790)	3,333,736	(34,804,790)	3,333,736
Other operating income (net)	11	268,891,481	187,261,017	268,918,924	149,673,127
Total Operating Income		3,788,234,351	3,503,246,041	3,868,470,025	3,549,595,657
Impairment (charges) / reversal for loans and other losses	12	(813,494,810)	(512,894,347)	(813,494,810)	(512,894,347)
Net Operating Income		2,974,739,541	2,990,351,694	3,054,975,215	3,036,701,310
Operating Expenses					
Personnel expenses	13	(780,351,399)	(800,789,586)	(802,968,838)	(830,828,634)
Other operating expenses	14	(1,224,682,084)	(1,027,208,593)	(1,244,382,252)	(1,055,246,983)
Depreciation and amortization	15	(137,044,171)	(116,078,627)	(137,171,178)	(116,236,757)
Total operating expenses		(2,142,077,654)	(1,944,076,806)	(2,184,522,268)	(2,002,312,373)
Operating Profit before Taxes on Financial Services		832,661,887	1,046,274,888	870,452,947	1,034,388,937
Taxes on Financial Services	16	(221,190,685)	(246,235,917)	(221,190,685)	(248,635,917)
Operating Profit after Value Added Tax on Financial Services		611,471,202	800,038,971	649,262,262	785,753,020
Share of profit/(loss) from associates		(8,893,804)	(359,463)	(8,893,804)	(359,463)
Loss on change of interest in associate		-	(11,040,075)	-	(11,040,075)
Profit before Taxation from Operations		602,577,398	788,639,433	640,368,458	774,353,482
Provision for income taxation	17	(296,387,629)	(79,310,326)	(306,661,043)	(86,233,145)
Profit for the year		306,189,769	709,329,107	333,707,415	688,120,337
Profit attributable to :					
Equity holders of the company		306,189,769	709,329,107	323,784,550	681,934,161
Non controlling interest		-	-	9,922,865	6,186,176
Profit for the year		306,189,769	709,329,107	333,707,415	688,120,337
Basic Earnings Per Share	18	9	21	10	20
Dividend Per Share	19	1	6	1	6

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC

STATEMENT OF COMPREHENSIVE INCOME

For the year ended 31st March 2019

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Profit for the year	306,189,769	709,329,107	333,707,415	688,120,337
Other Comprehensive Income				
Other Comprehensive Income to be Reclassify to Profit or Loss				
<u>Net gains and losses on available-for-sale financial assets:</u>				
Sri Lanka government securities	-	(1,505,120)	-	(1,505,120)
Net other comprehensive income to reclassified to profit or loss	-	(1,505,120)	-	(1,505,120)
<u>Net gains and losses on fair value through other comprehensive income financial assets:</u>	-	-	-	-
Other Comprehensive Income not to be Reclassified to Profit or Loss				
Actuarial gains /(losses) on defined benefit plans	8,681,427	(829,525)	8,760,704	(784,570)
Deferred tax effect on above	(2,430,800)	232,267	(2,430,800)	232,267
	6,250,627	(597,258)	6,329,904	(552,303)
Deferred tax impact on revaluation of lands	-	(328,206,042)	-	(328,206,042)
Reversal of deferred tax impact on revaluation of lands	69,210,000	-	69,210,000	-
	69,210,000	(328,206,042)	69,210,000	(328,206,042)
Net Other Comprehensive Income not be Classified to Profit or Loss	75,460,627	(328,803,300)	75,539,904	(328,758,345)
Total Comprehensive Income for the year	381,650,396	379,020,688	409,247,319	357,856,872
Attributable to:				
Equity holders of the company	381,650,396	379,020,688	399,324,454	351,654,485
Non controlling interest	-	-	9,922,865	6,202,387
Total Comprehensive Income for the Year	381,650,396	379,020,688	409,247,319	357,856,872

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC
STATEMENT OF FINANCIAL POSITION
As at 31st March 2019

As at 31st March	Notes	Company 2019 Rs.	2018 Rs.	Group 2019 Rs.	2018 Rs.
Assets					
Cash and cash equivalents	22	281,584,736	510,364,191	290,719,999	551,552,815
Repurchase agreements		210,053,286	638,820,384	210,053,286	638,820,384
Placements with banks & financial institutions		732,163,843	476,510,425	732,163,843	476,510,425
Financial assets recognised through profit or loss	23	1,807,179,087	-	1,807,179,087	-
Financial investments-held for trading	24	-	751,264,686	-	751,264,686
Loans and advances - at amortised cost	25	6,512,027,536	7,877,246,355	6,512,165,856	7,877,373,054
Lease rentals receivable & stock out on hire - at amortised cost	26	18,842,072,665	17,553,965,443	18,842,072,665	17,553,965,443
Hire purchase rentals receivable & stock out on hire - at amortised cost	27	12,349,092	62,388,835	12,349,092	62,388,835
Financial assets- fair value through other comprehensive income	28	579,250	-	579,250	-
Financial investments - available for sale	29	-	381,521,952	-	381,521,952
Other trading stocks	30	401,655,826	140,786,132	401,655,826	140,786,132
Other financial assets	31	405,850,825	323,549,421	446,862,407	349,638,381
Other non financial assets	32	217,705,371	115,538,483	217,705,362	115,985,991
Investments in associates	33	48,469,100	57,362,904	84,731,550	76,411,294
Investments in subsidiaries	34	16,924,038	16,924,038	-	-
Investment Property	35	549,000,000	-	549,000,000	-
Property, plant & equipment	36	1,746,403,417	2,167,727,899	1,746,660,210	2,168,021,698
Intangible assets	37	56,523,495	56,746,867	56,523,495	56,746,867
Deferred tax assets	46	291,123,246	647,838,785	291,667,571	648,285,324
Total Assets		32,131,664,813	31,778,556,800	32,202,089,499	31,849,273,281
Liabilities					
Due to banks	38	12,589,469,582	11,042,104,540	12,589,469,582	11,053,987,058
Due to customers	39	12,493,682,808	13,256,951,431	12,493,682,808	13,256,951,431
Debt instruments issued and other borrowed funds	40	819,062,771	1,645,799,918	819,062,771	1,645,799,918
Other financial liabilities	41	781,933,240	456,262,778	781,537,579	473,689,206
Other non financial liabilities	42	56,531,752	36,923,025	56,531,752	36,923,025
Derivative financial liabilities	43	99,770,779	39,238,389	99,770,779	39,238,389
Income tax liabilities	44	142,874,258	25,004,302	145,940,743	26,636,671
Retirement benefit liabilities	45	30,699,249	64,596,330	32,643,265	66,191,109
Deferred tax liabilities	46	607,383,605	981,828,524	607,459,177	981,871,560
Total Liabilities		27,621,408,044	27,548,709,237	27,626,098,456	27,581,288,367
Shareholders' Funds					
Stated capital	47	613,980,000	613,980,000	613,980,000	613,980,000
Retained earnings	48	1,655,296,368	1,499,976,696	1,691,219,894	1,518,254,751
Reserves	49	2,240,980,401	2,115,890,867	2,240,980,401	2,115,890,867
Total Equity Attributable to Equity Holders of the Company		4,510,256,769	4,229,847,563	4,546,180,295	4,248,125,618
Non controlling interest		-	-	29,810,748	19,859,296
Total Equity		4,510,256,769	4,229,847,563	4,575,991,043	4,267,984,914
Total Liabilities and Shareholders' Funds		32,131,664,813	31,778,556,800	32,202,089,499	31,849,273,281
Net assets value per share (Rs.)	20	134	126	135	126

Accounting policies & notes to the accounts form an integral part of these Financial Statements.

Certification

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

Chamindra de Silva
Chief Financial Officer

The Board of Directors is responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board by,

Kusal Jayawardana
Director Finance & Operations
26-Jun-19
Colombo

R.K.E.P. de Silva
Deputy Chairman & Managing Director



Alliance Finance Company PLC

STATEMENT OF CHANGES IN EQUITY

For the year ended 31st March 2019

Company	Stated Capital	Statutory Reserve	Capital Reserve	General Reserve	Available for Sale Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2017	613,980,000	631,208,800	1,277,405,588	388,258,055	6,863,586	-	-	1,147,080,447	4,064,796,476
Profit for the year	-	-	-	-	-	-	-	709,329,107	709,329,107
Other comprehensive income, net of tax	-	-	-	-	(1,505,120)	-	-	(597,258)	(2,102,378)
Deferred tax impact on revalued lands	-	-	(328,206,042)	-	-	-	-	-	(328,206,042)
Transfer to statutory reserve	-	141,866,000	-	-	-	-	-	(141,866,000)	-
Dividend paid	-	-	-	-	-	-	-	(213,969,600)	(213,969,600)
Balances as at 31st March 2018	613,980,000	773,074,800	949,199,546	388,258,055	5,358,466	-	-	1,499,976,696	4,229,847,563
Impact of adopting SLFRS 9 (Note 06)	-	-	-	-	(5,358,466)	5,358,466	-	(20,066,724)	(20,066,724)
Restated opening balance under SLFRS 9	613,980,000	773,074,800	949,199,546	388,258,055	-	5,358,466	-	1,479,909,972	4,209,780,839
Balance as at 1st April 2018	613,980,000	773,074,800	949,199,546	388,258,055	-	5,358,466	-	1,479,909,972	4,209,780,839
Profit for the year	-	-	-	-	-	-	-	306,189,769	306,189,769
Other comprehensive income, net of tax	-	-	69,210,000	-	-	-	-	6,250,627	75,460,627
Reclassified to profit or loss as per SLFRS 09 (Note 10)	-	-	-	-	-	(5,358,466)	-	-	(5,358,466)
Transfer to statutory reserve	-	61,238,000	-	-	-	-	-	(61,238,000)	-
Dividend paid	-	-	-	-	-	-	-	(75,816,000)	(75,816,000)
Balances as at 31st March 2019	613,980,000	834,312,800	1,018,409,546	388,258,055	-	-	-	1,655,296,368	4,510,256,769

Alliance Finance Company PLC

STATEMENT OF CHANGES IN EQUITY

For the year ended 31st March 2019

Group

	Stated Capital	Statutory Reserve	Capital Reserve	General Reserve	Available for Sale Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2017	613,980,000	631,208,800	1,277,405,588	388,258,055	6,863,586	-	35,292,909	1,192,724,704	4,145,733,642
Profit for the year	-	-	-	-	-	-	6,186,176	681,934,161	688,120,337
Other comprehensive income, net of tax	-	-	-	-	(1,505,120)	-	16,211	(568,514)	(2,057,422)
Deferred tax impact on revalued lands	-	-	(328,206,042)	-	-	-	-	-	(328,206,042)
Transfer to statutory reserve	-	141,866,000	-	-	-	-	-	(141,866,000)	-
Dividend paid	-	-	-	-	-	-	(21,636,000)	(213,969,600)	(235,605,600)
Balances as at 31st March 2018	<u>613,980,000</u>	<u>773,074,800</u>	<u>949,199,546</u>	<u>388,258,055</u>	<u>5,358,466</u>	<u>-</u>	<u>19,859,296</u>	<u>1,518,254,751</u>	<u>4,267,984,914</u>
Impact of adopting SLFRS 9	-	-	-	-	(5,358,466)	5,358,466	-	(20,066,724)	(20,066,724)
Restated opening balance under SLFRS 9	<u>613,980,000</u>	<u>773,074,800</u>	<u>949,199,546</u>	<u>388,258,055</u>	<u>-</u>	<u>5,358,466</u>	<u>19,859,296</u>	<u>1,498,188,027</u>	<u>4,247,918,190</u>
Balance as at 1st April 2018	613,980,000	773,074,800	949,199,546	388,258,055	-	5,358,466	19,859,296	1,498,188,027	4,247,918,190
Profit for the year	-	-	-	-	-	-	9,922,865	323,784,550	333,707,415
Other comprehensive income, net of tax	-	-	69,210,000	-	-	-	28,587	6,301,317	75,539,904
Reclassified to profit or loss as per SLFRS 09 (note 10)	-	-	-	-	-	(5,358,466)	-	-	(5,358,466)
Transfer to statutory reserve	-	61,238,000	-	-	-	-	-	(61,238,000)	-
Dividend paid	-	-	-	-	-	-	-	(75,816,000)	(75,816,000)
Balances as at 31st March 2019	<u>613,980,000</u>	<u>834,312,800</u>	<u>1,018,409,546</u>	<u>388,258,055</u>	<u>-</u>	<u>-</u>	<u>29,810,748</u>	<u>1,691,219,894</u>	<u>4,575,991,043</u>

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC
STATEMENT OF CASH FLOWS
For the year ended 31st March 2019

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Cash Flows From / (Used in) Operating Activities				
Profit before Income Tax Expense	602,577,398	788,639,433	640,368,458	774,353,482
Adjustments for;				
Depreciation of property, plant & equipment	128,472,318	108,860,544	128,599,325	109,018,674
Amortization of intangible assets	8,571,853	7,218,083	8,571,853	7,218,083
Impairment (reversal)/provision	436,855,346	415,603,933	436,855,346	415,603,933
Interest on fixed deposits, commercial paper & treasury bills	(105,930,809)	(119,668,726)	(108,879,957)	(122,451,376)
(Profit) /loss on sale of securities	4,076,301	(6,378,862)	4,076,301	(6,378,862)
Fair value (gain)/loss on equity investments (FVTPL)	1,129,628	514,602	1,129,628	514,602
Fair value gain on investment property	(64,176,075)	-	(64,176,075)	-
Previous year WHT written-off	10,546	52,653	10,546	52,653
Bad debt written-off	376,639,464	97,290,414	376,639,464	97,290,414
Bonus provision reversal	-	-	830,915	-
Diminution/(appreciation) in value of investments	39,152,075	(5,187,779)	39,152,075	(5,187,779)
Diminution/(appreciation) in value of treasury bonds	(5,862,896)	-	(5,862,896)	-
Loss/(profit) on disposal of property, plant & equipment	(912,208)	(1,746,639)	(912,208)	(1,746,639)
Provision/(reversal) for defined benefit plans	32,693,185	34,308,582	33,121,699	34,674,274
Loss/(profit) on changes of interest in associate	-	11,040,075	(17,214,060)	11,040,076
Dividend received	(5,635,045)	(43,453,580)	(5,635,045)	(5,077,580)
Share of loss/(profit) from associates	8,893,804	359,463	8,893,804	359,463
Operating Profit before Working Capital Changes	1,456,554,885	1,287,452,198	1,475,569,173	1,309,283,417
(Increase)/decrease in trading stock	(260,869,694)	(131,010,196)	(260,869,694)	(131,010,196)
(Increase)/decrease in loans and advances	1,007,521,857	(686,706,863)	1,007,510,236	(686,717,099)
(Increase)/decrease in lease rentals receivable & stock out on hire	(1,752,643,849)	(1,949,130,899)	(1,752,643,849)	(1,949,130,899)
(Increase)/decrease in hire purchase rentals receivable & stock out o	30,908,072	112,837,814	30,908,072	112,837,814
(Increase)/decrease in fixed deposits & repurchase agreements	173,113,680	279,311,747	173,113,680	333,704,294
(Increase)/decrease in other financial assets	(82,301,404)	(67,770,434)	(97,224,026)	(58,080,181)
(Increase)/decrease in other non financial assets	(102,166,888)	2,800,795	(101,719,371)	2,372,598
Increase/(decrease) in amounts due to customers	(763,268,623)	3,169,129,517	(763,268,623)	3,169,129,517
Increase/(decrease) in derivative financial liabilities	60,532,390	21,501,809	60,532,390	21,501,809
Increase/(decrease) in other financial liabilities	325,670,462	(431,768,979)	307,848,373	(429,092,886)
Increase/(decrease) in other non financial liabilities	19,608,727	(14,737,994)	19,608,727	(14,737,994)
Cash generated from/(used in) Operations	112,659,615	1,591,908,515	99,365,088	1,680,060,195
Retirement benefit liabilities paid	(26,065,445)	(23,511,922)	(26,065,445)	(23,511,922)
Investment in gratuity fund	(31,843,394)	(27,175,593)	(31,843,394)	(27,175,593)
Taxes paid	(121,674,674)	(102,090,558)	(131,410,137)	(110,915,653)
Net cash generated from/(used in) operating activities	(66,923,897)	1,439,130,442	(89,953,888)	1,518,457,027
Cash Flows from Investing Activities				
Acquisition of property, plant & equipment	(198,964,496)	(193,621,051)	(199,054,496)	(193,749,500)
Acquisition of Intangible Assets	(8,348,481)	(14,466,327)	(8,348,481)	(14,466,327)
Proceeds from sales of property, plant & equipment	7,904,944	41,692,436	7,904,944	41,692,436
Net sales/ (purchases) of financial investments held -for- trading	(1,100,272,405)	511,403,133	(1,100,272,405)	511,403,133
Net sale/(purchase) of financial investments - available- for- sale fina	381,447,131	105,097,181	381,447,131	99,548,791
Dividend received	5,635,045	43,453,580	5,635,045	5,077,580
Interest on fixed deposits, commercial paper & treasury bills	105,930,809	119,668,726	108,879,957	122,451,376
Net cash generated from investing activities	(806,667,453)	613,227,679	(803,808,305)	571,957,489
Cash flows from / (used in) financing activities				
Proceeds from debentures and increase in borrowed funds	(826,737,147)	(902,425,888)	(826,737,147)	(902,425,888)
Net increase /(decrease) in other borrowings	1,554,607,570	(669,170,833)	1,542,725,052	(688,771,391)
Net increase /(decrease) in finance lease	(7,242,528)	(6,623,982)	(7,242,528)	(6,623,982)
Dividend paid	(75,816,000)	(213,969,600)	(75,816,000)	(235,605,600)
Net cash generated from/(used in) financing activities	644,811,895	(1,792,190,303)	632,929,377	(1,833,426,861)
Net increase/(decrease) in cash and cash equivalents	(228,779,455)	260,167,818	(260,832,816)	256,987,655
Cash and cash equivalents at the beginning of the year	510,364,191	250,196,373	551,552,815	294,565,160
Cash and cash equivalents at the end of the year	281,584,736	510,364,191	290,719,999	551,552,815
Movement in Cash and Cash Equivalent	(228,779,455)	260,167,818	(260,832,816)	256,987,655

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method – whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows – is shown in the above.

1. CORPORATE INFORMATION

1.1 General

Alliance Finance Company PLC (the 'Company') is a public limited liability Company listed on the Colombo Stock Exchange and incorporated on July 18, 1956 under the Companies Ordinance No 51 of 1938 and domiciled in Sri Lanka. It is a Registered Finance Company regulated under the Finance Business Act No.42 of 2011 and amendments thereto. The Company is re-registered under the new Companies Act No 7 of 2007. The registered office of the Company and the principal place of business are both situated at No.84, Ward Place, Colombo 07.

1.2 Consolidated Financial Statements

Consolidated Financial Statements of the Group for the year ended 31st March 2019 comprises the Company and its Subsidiaries (together referred to as the “Group” and individually as ‘Group entities’). The subsidiary company of the Group as at 31st March 2019 was Alfinco Insurance Brokers (Pvt) Ltd.

All the Group entities are limited liability Companies, incorporated and domiciled in Sri Lanka.

1.3 Principal Activities and Nature of Operations

1.3.1 The Company

During the year under review, the Company provides a comprehensive range of financial services encompassing accepting deposits, lease financing, hire purchase financing, mortgage loans, pawning, term loans and other credit facilities, operating leases, vehicle hiring, consumer credit, micro financing activities and other financial services.

1.3.2 Subsidiary

Ownership of Subsidiary as on 31st March 2019 is given below

Subsidiary	Principal Activities	Ownership %
Alfinco Insurance Brokers (Pvt.) Ltd	Insurance Brokering	63.94

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Group and the separate Financial Statements of the Company, have been prepared and presented in accordance with Sri Lanka Accounting Standards comprising of Sri Lanka Financial Reporting Standards (SLFRS s) and Lanka Accounting Standards (LKASs), laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of the Financial Statements is also in compliance with the requirements of the Finance Business Act No. 42 of 2011 and amendments thereto, and provides appropriate disclosures as required by the Listing Rules of the Colombo Stock Exchange (CSE).

Financial Statements comprised of the Statement of Financial Position, Statement of Profit or Loss, Statement of Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flow, together with the accounting policies and notes.

2.2 Responsibility for Financial Statements

The Board of Directors of the Company is responsible for the preparation and presentation of the Financial Statements of the Group and the Company as per Sri Lanka Accounting Standards (SLFRSs and LKASs) and the provisions of the Companies Act No. 7 of 2007.

2.3 Date of Authorization for Issue

The Financial Statements for the year ended 31st March 2019, were approved and authorized for issue in accordance with a resolution of the Board of Directors on 26th June 2019.

2.4 Basis of Measurement

The Consolidated Financial Statements have been prepared on the historical cost basis, except for the following material items in the Statements of Financial Position.

- Financial assets held at fair value through other comprehensive income(FVOCI) / Available for sale financial assets are measured at fair value (Note 28 & 29)
- Financial assets recognized through profit or loss (FVPL) are measured at fair value (Note 23 & 24)
- Net liability for defined benefit obligations are recognized as the present value of the defined benefit obligation, less net total of the plan assets, plus unrecognized actuarial gains, less unrecognized past service cost and unrecognized actuarial losses (Note 45).
- Land and buildings which are measured at cost at the time of acquisition, subsequently measured at revalued amounts, which are the fair values at the date of revaluation (Note 36).
- Investment property measured at fair value (Note 35).

2.5 Functional and Presentation Currency

The Financial Statements are presented in Sri Lankan Rupees which is the Group's functional and presentation currency of the primary economic environment in which Alliance Finance PLC operates. All financial information presented in Sri Lankan Rupees has been rounded to the nearest rupee, unless otherwise stated.

2.6 Presentation of Financial Statements

The Group presents its Statement of Financial Position broadly in order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note 55.

2.7 Materiality & Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items are presented separately in the Financial Statements. Items of dissimilar nature or functions are presented separately, unless they are immaterial.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Statement of Profit or Loss unless required or permitted by any accounting standard or interpretations, and as specifically disclosed in the accounting policies.

2.8 Comparative Information

The comparative information is re-classified wherever necessary to conform to the current year's presentation. However, the Group has not restated comparative information for 2018 for financial instruments within the scope of SLFRS 9. Therefore, the comparative information for 2018 is reported under LKAS 39 and is not comparable to the information presented for 2019. Differences arising from the adoption of SLFRS 9 have been disclosed in note 6.

2.9 Statement of Cash Flows

Statement of Cash Flows has been prepared by using the ‘Indirect Method’, as stipulated in Sri Lanka Accounting Standard - LKAS 7 ‘Statement of Cash Flows’, whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows. Cash and cash equivalents comprise short term highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The Cash and cash equivalent include cash in hand, balances with banks, placements with banks money at call and short notice.

2.10 Use of Significant Accounting Judgments, Estimates and Assumptions

In preparing Financial Statements of the Group in conformity with Sri Lanka Accounting Standards (SLFRSs and LKASs), requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Due to the inherent uncertainty involved with estimates, actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about critical judgments, estimates and assumptions in applying accounting policies that could have a significant effect on the Financial Statements of the Group are as follows:

2.10.1 Going concern

The Directors have made an assessment of its ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Directors are not aware of any material uncertainties that may cast significant doubt upon the Group’s ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Group. Therefore, the Financial Statements continue to be prepared on a going concern basis.

2.10.2 Fair value of financial instruments

The determination of fair values of financial assets and financial liabilities which recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The Group measures fair value using the fair value hierarchy that reflects the significant of input used in making measurements.

2.10.3 Impairment losses on loans and receivables

Policy applicable after 01st April 2018

The measurement of impairment losses both under SLFRS 9 and LKAS 39 across all categories of financial assets requires judgement, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses.

As per SLFRS 9, the Group's Expected Credit Loss (ECL) calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL model that are considered accounting judgements and estimates include:

- The Group's criteria for qualitatively assessing whether there has been a significant increase in credit risk and if so allowances for financial assets measured on a Life time expected credit loss (LTECL) basis;
- The segmentation of financial assets when their ECL is assessed on a collective basis;
- Development of ECL models, including the various statistical formulas and the choice of inputs;
- Determination of associations between macro-economic inputs, such as GDP growth, inflation, interest rates and unemployment and the effect on Probability of Default (PDs), Exposure At Default (EAD) and Loss Given Default (LGD);
- Selection of forward-looking macro-economic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

It has been the Group's policy to regularly review its models in the context of actual loss experience and adjust when necessary. The above assumptions and judgments are discussed in detail under note 4.4.7 to the Financial Statements.

Policy applicable before 1st April 2018

The Group reviews its individually significant loans and receivables at each reporting date to assess whether an impairment loss should be provided for in the Statement of Profit or Loss. In particular, Management's Judgement is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance made.

Loans and receivables that have been assessed individually are considered as individually significant and all other loans and receivables are assessed collectively, by categorizing them into groups of assets with similar risk characteristics, to determine whether a provision should be made due to incurred loss events for which there is objective evidence but the effects of which are not yet evident. The collective assessment takes account of data from the loan portfolio and judgement on the effect of concentrations of risks and economic data.

2.10.4 Taxation

The Group is subject to income taxes and other taxes including VAT on financial services, Debt repayment levy and Nations Building Tax. Significant judgement was required to determine the total provision for current, deferred and other taxes pending the issue of tax guidelines on the treatment of the adoption of SLFRS in the Financial Statements and the taxable profit for the purpose of imposition of taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws at the time of the preparation of these financial statements.

The Group recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income, deferred and tax amounts in the period in which the determination is made.

2.10.5 Deferred tax assets

Deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profits will be available against such tax losses which can be set-off. Judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and level of future taxable profits, together with the future tax-planning strategies.

2.10.6 Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates etc.

Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Group.

2.10.7 Fair value of property and equipment

The land and buildings of the Group are reflected at fair value. The Group engaged independent valuation specialist to determine the fair value of land and building. When current market prices of similar assets are available, such evidences are considered in estimating fair values of these assets.

2.10.8 Useful life-time of the property and equipment

The Group review the residual values, useful lives and methods of depreciation of assets at each reporting date. Judgement of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

2.10.9 Commitment and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent Liabilities are not recognized in the Statement of Financial Position but are disclosed unless its occurrence is remote. All discernible risks are accounted for in determining the amount of all known liabilities. Details of commitments and contingencies are given in Note no. 53.

2.10.10 Impairment of Other Financial Assets

The Group reviews its debt securities classified as FVOCI / amortised cost, at each reporting date to assess whether they are impaired. From 1st April 2018, with the adoption of SLFRS 9 equity investments are not subjective for impairment assessment.

2.11 Events after the Reporting Period

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue. In this regard, all material and important events that occurred after the reporting period have been considered and appropriate disclosures are made in Note 54 on page 91, where necessary.

3. NEW AMENDMENTS TO ACCOUNTING STANDARDS APPLICABLE FROM 1ST APRIL 2018

The Group applied SLFRS 9 SLFRS 7R and SLFRS 15 which are effective for annual periods beginning on or after 1st January 2018, for the first time. The Group has not adopted early any other standard, interpretation or amendment that has been issued but is not yet effective.

3.1 SLFRS 9 Financial Instruments

SLFRS 9 replaces LKAS 39 for annual periods on or after 1st January 2018. SLFRS 9 requires an entity to restate prior periods if and only if the restatement is possible without the use of hindsight. The Group has not restated comparative information for 2017/18 for financial instruments within the scope of SLFRS 9. Therefore, the comparative information for 2017/18 is reported under LKAS 39 and is not comparable to the information presented for 2018/19. Differences arising from the adoption of SLFRS 9 have been recognized directly in retained earnings as of 1st April 2018 and are disclosed in Note 06, Transition disclosures.

3.1.1 Changes to Classification & Measurement

Up to 01st April 2018 as per LKAS 39, the Group classified its financial assets into one of the following categories:

- Financial assets at fair value through profit or loss (FVTPL), and within this category
 - Held for trading
 - Designated at fair value through profit or loss
- Loans and receivables
- Held to maturity
- Available for sale

From 01st April 2018 as per SLFRS 9, the Group classifies all of its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either;

- Financial assets measured at amortised cost
- Financial assets measured at fair value through other comprehensive income (FVOCI)
- Financial assets measured at fair value through profit or loss (FVTPL)

(a) Financial assets measured at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

(b) Financial assets measured at FVOCI

Financial assets at FVOCI include debt and equity instruments measured at fair value through other comprehensive income.

Debt Instrument

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets: and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Equity investments

Investments in equity instruments are always measured at fair value. Equity instruments are those that meet the definition of equity from the perspective of the issuer as defined in LKAS 32 – “Financial instrument: Recognition & measurement”. For all other equity instruments, management has the ability to make an irrevocable election on initial recognition, on an instrument-by-instrument basis, to present changes in fair value in OCI rather than profit or loss. If this election is made, all fair value changes, excluding dividends that are a return on investment, will be included in OCI. There is no recycling of amounts from OCI to profit and loss (for example, on sale of an equity investment), nor are there any impairment requirements. However, the entity might transfer the cumulative gain or loss within equity.

- All the equity instrument for which the irrecoverable option is not made should be measured at fair value through profit or loss

(c) Financial assets measured at FVTPL

As per SLFRS 9, all financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL.

Financial assets at fair value through profit or loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets and financial assets designated upon initial recognition at fair value through profit or loss.

Financial assets measured at FVTPL (continued)

As per LKAS 39, financial assets at fair value through profit or loss include financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss.

Changes to the classification and measurement of financial assets after application of SLFRS 9 – “Financial Instruments” is given below:

Financial Assets	LKAS 39 – Classification	SLFRS 09 - Classification
Financial assets that are classified as held-for-trading	Measured at fair value	Measured at FVTPL
Loans and receivables to customers	Measured at amortised cost	Measured at amortised cost
Held-to-maturity investment securities	Measured at amortised cost	Measured at amortised cost
Quoted equity securities	classified as available for sale	Irrevocably elected to present subsequent Changes in fair value in OCI.

The accounting for financial liabilities remains largely the same as it was under LKAS 39, except for the treatment of gains or losses arising from an entity’s own credit risk relating to liabilities designated at FVPL. Such movements are presented in OCI with no subsequent classification to the Statement of Profit or Loss.

The Group did not have any quantitative impact from the adoption of classification principles of SLFRS 9 as at 1st April 2018.

3.1.2 Changes to Impairment Calculation

The adoption of SLFRS 9 has fundamentally changed the Group’s accounting for loan loss impairment by replacing LKAS 39’s incurred loss approach with a forward-looking expected credit loss (ECL) approach.

The impairment is based on the ECL associated with the probability of default in the next twelve months unless there has been a significant increase in the credit risk. Since origination in which case the impairment will be based on the ECLs associated with the probability of default over the entire lifetime of the loan.

For other receivables, Group applies the simplified approach permitted by SLFRS 9, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

Details of the Group's impairment method are disclosed in Note 12. The quantitative impact of applying expected credit loss approach in SLFRS 9 as at 1st April 2018 is disclosed in Note 6.

3.2 SLFRS 7R – Financial Instrument Disclosures

To reflect the difference between SLFRS 9, LKAS 39 and SLFRS 7 Financial Instruments: Disclosures was updated and the Group has adopted it, together with SLFRS 9, for the year beginning 1st April 2018. Changes including transition disclosures, detailed qualitative and quantitative information about the ECL calculations are set out in Notes 6.

3.3 SLFRS 15 – Revenue from Contracts with Customers

SLFRS 15 became effective for financial periods beginning on or after 1st January 2018. The core principle of SLFRS 15 is that an entity have to recognise revenue to depict the transfer of promised goods or services to customers. This core principle is delivered in a five-step model framework as disclosed below.

- Identify the contract(s) with a customer
- Identify the performance obligations in the contract
- Determine the transaction price
- Allocate the transaction price to the performance obligations in the contract
- Recognise revenue when (or as) the entity satisfies a performance obligations.

Application of this guidance will depend on the facts and circumstances present in a contract with a customer and will require the exercise of judgment.

The Group did not have any material impact on its fee and commission income with the adoption of SLFRS 15 for the year beginning 1st April 2018.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the Group in preparation of the Financial Statements are included below. The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements of the Group, unless otherwise indicated.

4.1 Basis of Consolidation

The Group's Financial Statements comprise consolidation of the Financial Statements of the Company and its Subsidiaries in terms of the Sri Lanka Accounting Standard – SLFRS 10 (Consolidation Financial Statements).

4.1.1 Business combinations and goodwill

Business combinations are accounted for using the acquisition method as per the requirements of Sri Lanka Accounting Standard – SLFRS 03 (Business Combinations).

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognized amount of any non-controlling interests in the acquire, less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognized immediately in Profit or Loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interest at its fair value, or at its proportionate share of the recognized amount of the identifiable net assets, at the acquisition date.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognized in Profit or Loss.

Transactions costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

4.1.2 Subsidiaries

Subsidiaries are those enterprises controlled by the Company. Control exists when the Company (the Parent) holds more than 50% of the voting rights and/or has the power, directly or indirectly, to govern the financial and operational policies of an enterprise to obtain benefits from its activities.

The Financial Statements of Subsidiaries are fully consolidated from the date on which control is transferred to the Company and continue to be consolidated until the date when such control ceases.

The Financial Statements of all subsidiaries in the Group have a common financial year which ends on March, 31.

The cost of an acquisition is measured at fair value of the consideration, including contingent consideration, given on the date of transferring the title. The acquired identifiable assets, liabilities and contingent liabilities are measured at their fair values at the date of acquisition. Subsequent to the initial measurement the Company continues to recognize the investments in Subsidiaries at cost.

Subsidiaries (Continued)

The total assets and liabilities of the Subsidiaries as at the reporting date are included in the Consolidated Statements of Financial Position. The total Profit or Loss for the year of the subsidiaries is included in the Consolidated Statements of Profit or Loss.

The non-controlling interest is presented in the Consolidated Statements of Financial Position within equity; separately from the equity attributable to the equity holders of the Company. Non-controlling interest in the Profit or Loss of the Group is disclosed in the Consolidated Statement of Comprehensive Income. Total Comprehensive Income is allocated to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Where subsidiaries have been acquired or sold during the year, their operating results have been included from the date of acquisition or to the date of disposal.

Upon the loss of control, the Group derecognized the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in the Statement of Changes in Equity. If the group retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently it is accounted for an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

4.1.3 Associates and Jointly control entities

Associates

Associates are those entities which the Group has significant influence, but not control or power to govern the financial and operating policies of the entities so as to obtain benefits from their activities.

The Group Financial Statements include the Group's share of the total recognized gains and losses of associates on an equity accounted basis from the date that significant influence commences until the date that significant influence ceases.

Accordingly, under the equity method, investment in associates are carried at cost plus post-acquisition changes in the Group's share of net assets of the associates and are reported as a separate line item in the Statement of Financial Position. The Statement of Profit or Loss reflects the share of current year's Profit or Loss of the Associates.

When the Group and Associate's share of losses exceed the carrying amount of the associate, the carrying amount is reduced to nil and recognition of further losses are discontinued except to the extent that the Group has incurred obligations or has made payments on behalf of the investee.

Jointly controlled entities

Jointly controlled entities are those entities where the Group has entered into a contractual agreement to share the control over strategic, financial and operating decisions relating to economic activities of the entities through unanimous consent of other parties sharing control.

4.1.4 Transactions eliminated on consolidation

Intra-group balances and any income and expenses arising from intra- group transactions are eliminated in preparing the Consolidated Financial Statements. Unrealized losses are eliminated in the same way as unrealized gains (except that they are only eliminated to the extent that there is no evidence of impairment).

4.2 Foreign Currency Transactions and Balances

Monetary assets and liabilities denominated in foreign currencies have been translated into local currency as per the exchange ruling at the date of the Statement of Financial Position while all non-monetary items are reported at the rate prevailing at the time transactions were affected.

4.3 Cash and Cash Equivalents

Cash and cash equivalents comprise cash in hand, balances with banks and money at call & short notice.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

They are brought to Financial Statements at their face values or the gross values, where appropriate. Cash and cash equivalents are carried at amortized cost in the Statement of Financial Position.

4.4 Financial Instruments – Initial recognition, classification and subsequent measurement

4.4.1 Date of recognition

All financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Group recognizes balances due to customers when funds are transferred to the Group.

4.4.2 Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value plus transaction costs, except in the case of financial assets and financial liabilities recorded at Fair Value through Profit or Loss.

Transaction cost in relation to financial assets and financial liabilities at fair value through Profit or Loss are dealt through the Statement of Profit or Loss.

4.4.2.1 'Day 1' Profit or Loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Group immediately recognises the difference between the transaction price and fair value (a 'Day 1' Profit or Loss) in 'Net trading income'.

4.4.3 Financial Assets and Liabilities

Before 1st April 2018, loans and advances to customers, included non-derivative financial assets with fixed or determinable payments that were not quoted in an active market, other than those:

- That the Group intended to sell immediately or in the near term
- That the Group, upon initial recognition, designated as FVPL or as available-for-sale
- For which the Group may not recover substantially all of its initial investment, other than because of credit deterioration, which were designated as available-for sale.

From 1st April 2018, the Group only measures loans and advances to customers and other financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below.

4.4.3.1 (a) Business Model Assessment

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel.
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

The business model assessment is based on reasonably expected scenarios without taking into account "worse case" or "stress case" scenarios. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

4.4.3.1 (b) The SPPI Test

As a second step of its classification process the Company assesses the contractual terms of the financial assets to identify whether they meet the SPPI test. "Principal" for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount). The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms that introduce a volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

4.4.3.2 Financial Instrument classification (before 01st April 2018)

The Group recognized financial assets by the following four categories:

- Financial assets at fair value through Profit or Loss
 - a) Held for Trading; or
 - b) Designated at fair value through Profit or Loss
- Held-to maturity investments
- Loans and receivables
- Available - for - Sale financial investments

Subsequent measurement of financial assets depends on their classification.

4.4.3.2.(a) Financial assets at fair value through Profit or Loss

A financial asset is classified as fair value through Profit or Loss if it is Held for Trading or is designated at fair value through profit of loss.

a) Financial Assets Held for Trading

Financial assets are classified as Held for Trading if they are acquired principally for the purpose of selling or repurchasing in the near term or holds as a part of a portfolio that is managed together for short-term profit or position taking.

Financial assets Held for Trading are recorded in the Statement of Financial Position at fair value. Changes in fair value are recognized in 'Net trading income'.

Interest income on financial assets Held for Trading are recognised under 'Interest Income' and dividend income is recorded in 'Other Operating Income' according to the terms of the contract, or when the right to the payment has been established. Financial assets Held for Trading include instruments such as Government and other debt securities and equity instrument that have been acquired principally for the purpose of selling or repurchasing in the near term.

b) Financial assets designated at fair value through Profit or Loss (FVTPL)

Financial assets may be designated by management at fair value through Profit or Loss in the following circumstances:

- The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or recognizing gains or losses on them on a different basis or
- The assets are part of a group of financial assets, financial liabilities or both, which are managed and their performance evaluated and reported on a fair value basis.

Financial assets at fair value through Profit or Loss (Continued)

Financial assets at fair value through Profit or Loss are recorded in the Statement of Financial Position at fair value. Changes in fair value are recorded in 'Net gain or loss on financial instrument designated at fair value through Profit or Loss. Interest earned or incurred is accrued in 'Interest income' using the Effective Interest Rate (EIR), while dividend income is recorded in 'Other operating income' when the right to the payment has been established.

4.4.3.2.(b) Held-to-maturity financial investments

Held-to-maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the Group has the intention and ability to hold to maturity.

Subsequent to initial recognition, held to maturity financial investments are measured at amortised cost using the Effective Interest Rate (EIR) less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the EIR. The amortisation is included in 'Interest income' in the Statement of Profit or Loss. The losses arising from impairment of such investments are recognised in the Statement of Profit or Loss line 'Impairment gain/ (loss) on financial investment'.

If the Group were to sell or reclassify more than an insignificant amount of held to maturity investments before maturity (other than in certain specific circumstances), the entire category would be tainted and would have to be reclassified as Available - for - Sale. Furthermore, the Group would be prohibited from classifying any financial asset as held to maturity during the following two years. The Group has not designated any financial instrument as Held-to-Maturity Financial Investment.

4.4.3.2.(c) Due from banks and loans and receivables from customers

Due from banks and loans & receivables from customers includes non- derivative financial assets with fixed or determinable payments that are not quoted in an active market.

'Due from banks and loans and receivables from customers' includes loans and advances and lease receivables of the Group.

After initial measurement, amounts 'Due from banks' and 'loans and receivables from customers' are subsequently measured at amortised cost using the EIR, less provision for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs which are an integral part of the EIR. The amortisation is included in 'interest income' in the Statement of Profit or Loss. The losses arising from impairment are recognised in the Statement of Profit or Loss in 'impairment charges on loans & other losses'.

4.4.3.2.(d) Available - for - Sale financial investments

Available - for - Sale investments include equity and debt securities. Equity investments classified as Available - for - Sale are those which are neither classified as Held for Trading nor designated at fair value through Profit or Loss. Debt securities in this category are intended to be held for an indefinite period of time and may be sold in response to needs for liquidity or in response to changes in the market conditions. The Group has not designated any loans or receivables as Available - for - Sale. After initial measurement, Available - for - Sale financial investments are subsequently measured at fair value.

Unrealised gains and losses are recognised directly in equity through Other Comprehensive Income in the 'Available - for - Sale reserve'. When the investment is disposed off, the cumulative gain or loss previously recognised in Equity is recognised in the Statement of Profit or Loss in 'other operating income'. Where the Group holds more than one investment in the same security, they are deemed to be disposed off on a first-in first-out basis. Interest earned whilst holding Available - for - Sale financial investments is reported as Interest Income using the EIR. Dividends earned whilst holding Available - for - Sale financial investments are recognised in the Statement of Profit or Loss as 'other operating income' when the right to receive the payment has been established. The losses arising from impairment of such investments are recognised in the Statement of Profit or Loss in '**impairment losses on financial investments**' and removed from the 'Available - for - Sale reserve'.

4.4.4 Derivative financial instruments

Derivatives are financial instruments that derive their value in response to changes in interest rates, financial instrument prices, commodity prices, foreign exchange rate, credit risk and indices. Derivatives are categorised as trading unless they are designated as hedging instruments.

All derivatives are initially recognised and subsequently measured at fair value, with all revaluation gains recognised in Statement of Profit or Loss (except where cash flow or net investment hedging has been achieved, in which case the effective portion of changes in fair value is recognised within other comprehensive income). Fair values may be obtained from quoted market prices in an active markets, recent market transactions and valuation techniques, including discounted cash flow models and option pricing models as appropriate, where the initially recognised fair value of a derivative contract is based on a valuation model that uses the inputs that are not observable in the market, it follows the same initial recognition accounting policy as for other financial assets and liabilities. All derivatives are carried as assets when fair value is positive and as liabilities when fair value is negative.

Certain derivatives embedded in other financial instruments such as the conversion option in a convertible bond holds, are valued as separate derivatives when their economic characteristics and risks are not closely related to those of the host contract and the host contract is not carried at fair

value through Profit or Loss. These embedded derivatives are measured at fair value with changes in fair value recognised in the Statement of Profit or Loss. Embedded derivatives continue to be presented with the host contract and are not separately disclosed or included within derivatives. The group did not have separate embedded derivatives as at 31st March 2019.

Further the Group has not applied hedge accounting for any of its derivatives during the years ended 31st March 2019 and 2018.

4.4.5 Reclassification of financial assets

From 1st April 2018, with the adoption of SLFRS 9, the Group reclassifies its financial assets subsequent to the initial recognition when an only when the business model for managing such financial assets is changed. Such reclassifications is applied prospectively from the reclassification date. Financial liabilities are never reclassified.

If a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in Statement of Profit or Loss. If the reclassification takes place out of the fair value through profit or loss category into the amortised cost measurement category, its fair value at the reclassification date becomes the new gross carrying amount.

If the reclassification takes place out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income.

The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification. During the year investment in government treasury bond previously classified under available for sale category, have been reclassified as financial assets fair value through profit and loss.

4.4.6 Derecognition of financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when:

- The rights to receive cash flows from the asset have expired;
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either:
- The Group has transferred substantially all the risks and rewards of the asset; or

- The Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amounts of the asset and consideration received and any cumulative gain or loss that had been recognised in the Other Comprehensive Income is recognised in the Profit or Loss. When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognises an associated liability.

The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

4.4.7 Impairment of financial assets

(a) After 01st April 2018

Overview of the ECL principles

As described in the note 3.1.2, SLFRS 9 replaces the 'Incurred Loss' model in LKAS 39 with a forward-looking 'Expected Credit Loss' (ECL) model. This requires considerable judgement about how changes in economic factors affect ECLs, which determined on a probability-weighted basis.

SLFRS 9 presents a "three-stage" model for estimating expected losses on the basis of changes in credit quality since initial recognition.

Stage 1: When loans are originated, the Group recognises an allowance based on 12 months ECL and performed assessment collectively. Stage 1 loans also contain the facilities which are reclassified from Stage 2 since the credit risk has improved.

Stage 2: When a loan credit risk increases significantly, the Group records an allowance for the Life Time Expected Credit Loss (LTECL), which performed collective basis. Stage 2 loans also include facilities, which are reclassified from stage 3 since the credit risk has improved.

Stage 3: When a loan is considered to be credit impaired, contain objective evidences of incurred loss, the Group records an allowance for the LTECL. Stage 3 assessment performed either individually or collectively.

Overview of the ECL principles (Continued.)

Under SLFRS 9, loss allowances measured on either of the following bases:

- 12 month ECLs: these are ECLs that result from possible default events within the 12 months after the reporting date; and
- Lifetime ECLs: these are ECLs that result from all possible default events over the expected life of a financial instrument.

Lifetime ECL measurement applies if the credit risk of a financial asset at the reporting date has increased significantly since initial recognition. Twelve months ECL measurement applies if it has not increased an entity may determine that a financial asset's credit risk has not increased significantly if the asset has low credit risk at the reporting date. However, lifetime ECL measurement always applies for trade receivables and contract assets without a significant financing component.

Based on the computations:

- The Group believes that impairment losses are likely to increase and become more volatile for assets in the scope of the SLFRS 9 impairment model.
- The estimated ECLs were calculated based on actual credit loss experience over the past five years.
- The Group performed the calculation of ECL rates separately for each product types.

Exposures within each group were segmented based on common credit risk characteristics such as product type, delinquency status, age of relationship and type of product purchased.

The Group to be performed an assessment, at the end of each reporting period to identify whether a financial instrument's credit risk has increased significantly since initial recognition.

Definition of default and cure

The Group considers a financial instrument as defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 180 days past due on its contractual payments.

As a part of a qualitative assessment of whether an individually significant customer is in default, the Group also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Group carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate.

It is the Group's policy to consider a financial instrument as "cured" and therefore reclassified out of Stage 3 when none of the default criteria have been present and the borrower is no longer considered as non performing in accordance with the Directives of the Central Bank.

Once cured, the decision whether to classify an asset as Stage 2 or Stage 1 largely depends on the days past due, at the time of the cure. The Group's criterion for 'cure' for rescheduled / restructured loans is more stringent than ordinary loans.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Group assesses whether there has been a significant increase in the credit risk since initial recognition. The Group considers an exposure to have a significantly increase in the credit risk when it is past due for more than 90 days.

Calculation of ECL

The Group calculates ECL based on three probability-weighted scenarios to measure the expected cash shortfall (the base case, best case and worst case), discounted at an approximation to the EIR. Each of these is associated with different loss rates. The assessment of multiple scenarios incorporates how defaulted loans are expected to be recovered, including the probability that the loans will cure and the value of collateral or the amount that might be received for selling the asset. Key elements of the ECL calculations are outlined below:

- **Probability of default (PD)**

Probability of default is computed using transition matrix for last five years and computed average matrix from year 1 to 5. To minimize the sum of squared errors between average matrix and empirical matrix for that year computed a credit index. Regress macro-economic/ other variables to forecast future indexes.

- **Exposure at default computation (EAD)**

The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued interest from missed payments.

- **Loss Given Default (LGD)**

The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

Actual credit loss experience will be adjusted by scalar factors to reflect differences between economic conditions during the period over which the historical data was collected, current

conditions and the Group's view of economic conditions over the expected lives of the receivables. Scalar factors were based on GDP and unemployment rate forecasts and industry outlook.

Calculation of ECLs for Individually significant loans

The Group first assesses ECLs individually for financial assets that are individually significant to the Group. In the event the Group determines that such assets are not impaired (Not in stage 3), it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. However, assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment.

If the asset is impaired, the amount of the loss is measured by discounting the expected future cash flows of a financial asset at its original effective interest rate and comparing the resultant present value with the financial asset's current carrying amount. The impairment on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment is only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

When ECLs are determined for individually significant financial assets, following factors are considered:

- Aggregate exposure to the customer including any undrawn exposures;
- The amount and timing of expected receipts and recoveries;
- The realisable value of security (or other credit mitigants) and likelihood of successful repossession; and
- The likely deduction of any costs involved in recovery of amounts outstanding;

Grouping financial assets measured on collective basis

The Group calculates ECLs either on a collective or an individual basis. The Group categorise the collective impairment exposures into smaller homogeneous portfolios, based on a combination of internal and external characteristics of the loans, as described below:

- Product type
- Type of collateral
- Industry of the borrower

The PD estimation Process

PD estimation for loans and advances to other customers under SLFRS 9 is largely based on the Days Past Due (DPD) of the customers which is common for most Companies in the country at present.

Accordingly, exposures are categorised among 8 groups based on the DPD as follows.

- Zero days past due
- 1 – 30 days past due
- 31 - 60 days past due
- 61 – 90 days past due
- 91-120 days past due
- 121 – 150 days past due
- 151 – 180 days past due
- Above 180 days past due

Exposure at Default

The exposure at default (EAD) represents the gross carrying amount of the financial instrument subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a Stage 1 loan, the Group assesses the possible default events within 12 months. However, if a Stage 1 loan that is expected to default within the 12 months from the balance sheet date is also expected to cure and subsequently default again, then all linked default events are taken into account. For Stage 2 and stage 3 financial assets and credit impaired assets at origination, events over the lifetime of the instruments are considered. The Group determines EADs by modelling the range of possible exposure outcomes at various points in time, corresponding the multiple scenarios. The SLFRS 9 PDs are then assigned to each economic scenario based on the outcome of Group's models.

Loss given default

LGD values are assessed at least annually for each material collateral type. The Group segregates its customer loan book based on following major types of collaterals when calculating the LGD,

- Secured against immovable property
- Secured against motor vehicles and other movable properties
- Secured against gold
- Secured against lease receivables

These LGD rates take into account the expected EAD in comparison to the amount expected to be recovered or realised from any collateral held. Historically collected loss data is used for LGD calculation and involves a wider set of transaction characteristics. The LGD rates, where possible, are calibrated through back testing against recent recoveries.

Forward looking information

In its ECL models, the Group relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Unemployment rates
- Interest rates
- Treasury bill rate
- Inflation rate

The inputs and models used for calculating ECL may not always capture all characteristics of the market at the date of the financial statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material. To ensure completeness and accuracy, the Group obtains the above data from third party sources (Central Bank, World Bank and etc).

Policy applicable before 01st April 2018

The Group assesses at each reporting date whether there are any objective evidence that a financial asset or a group of financial assets are impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that have occurred after the initial recognition of the asset (an 'incurred loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Loans, advances to customers, leases and hire purchases

Losses for impaired loans are recognised promptly when there is an objective evidence that impairment of a loan or portfolio of loans has occurred. Impairment allowances are calculated on individual loans and for groups of loans, this is done collectively. Impairment losses are recorded as charges to the Statement of Profit or Loss. The carrying amount of impaired loans on the reporting date is reduced through the use of impairment allowance accounts. Losses expected from future events are not recognised.

Individually assessed loans & advances, leases and hire purchases

For all loans that are considered individually significant, the Group assesses on a case-by-case basis at each end of the reporting date whether there is any objective evidence that a loan is impaired. The criteria used to determine that there are such objective evidence includes:

- known cash flow difficulties experienced by the borrower;
- past due contractual payments of either principal or interest;
- breach of loan covenants or conditions;
- the probability that the borrower will enter bankruptcy or other financial realisation; and
- a significant downgrading in credit rating by an external credit rating agency.

For those loans where objective evidence of impairment exists, impairment losses are determined by considering the following factors:

- Group's aggregate exposure to the customer;
- the viability of the customer's business model and their capacity to trade successfully out of financial difficulties and generate sufficient cash flow to service debt obligations;
- the amount and timing of expected receipts and recoveries;
- the complexity of determining the aggregate amount and ranking of all creditor claims and the extent to which legal and insurance uncertainties are evident;
- the realisable value of security and likelihood of successful repossession; and
- the likely deduction of any costs involved in recovery of amounts outstanding;

Impairment losses are calculated by discounting the expected future cash flows of a loan at its original effective interest rate and comparing the present value with the loan's current carrying amount. The impairment allowances on individually significant accounts are reviewed more regularly when circumstances require. This normally encompasses re-assessment of the enforceability of any collateral held and the timing and amount of actual and anticipated receipts. Individually assessed impairment allowances are only released when there is reasonable and objective evidence of a reduction in the established loss estimate.

Collectively assessed loans, advances, leases and hire purchases

Impairment is assessed on a collective basis in two circumstances:

- to cover losses which have incurred but have not yet been identified on loans subject to individual assessment; and
- for homogeneous groups of loans that are not considered as individually significant.

Incurred but not yet identified impairment

Individually assessed loans for which no evidence of loss has been specifically identified on an individual basis are grouped together according to their credit risk characteristics for the purpose of calculating an estimated collective loss. This reflects impairment losses that the Group has incurred as a result of events occurring before the reporting date which the Group is not able to identify on an individual loan basis, and that can be reliably estimated. These losses will only be individually identified in the future. As soon as information becomes available which identifies losses on individual loans within the group, those loans are removed from the group and assessed on an individual basis for an impairment.

The collective impairment allowance is determined after taking into account:

- historical loss experienced in portfolios of similar credit risk; and
- management's experienced judgment as to whether current economic and credit conditions are such that the actual level of inherent losses at the end of the reporting date is likely to be greater or less than that suggested by historical experience.

Homogeneous groups of loans, advances, leases and hire purchases

Statistical methods are used to determine the impairment losses on a collective basis for homogeneous groups of loans. Losses in these groups of loans are recorded on an individual basis. When individual loans are written off, they are removed from the group.

Following method is used to calculate historical loss experience on a collective basis:

- Net flow rate method

Under this methodology the movement in the outstanding balance of customers in to bad categories over the period, are used to estimate the amount of loans that will eventually be written off as a result of the events occurring before the end of the reporting date which the Group is not able to identify on an individual loan basis, and that can be reliably estimated.

Under above methodology, loans are grouped into ranges according to the number of days in arrears and statistical analysis is used to estimate the likelihood that loans in each range will progress through the various stages of delinquency and ultimately prove irrecoverable. Current economic conditions and portfolio risk factors are also evaluated when calculating the appropriate level of allowance required for covering inherent loss.

These additional macro and portfolio risk factors may include:

- Recent loan portfolio growth and product mix,
- Unemployment rates, Gross Domestic Production (GDP) growth, inflation
- Exchange rates, interest rates
- Changes in government laws and regulations

Write-off of loan & advances, leases and hire purchases

Loans, advances, leases and hire purchases (the related impairment allowance was accounted) are normally written off, either partially or in full, when there are no realistic prospects of recovery. Where such balances are secured, these are generally after receipt of any proceeds from the realisation of security.

Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the impairment allowance account accordingly. The write-back is recognised in the Statement of Profit or Loss.

Available - for - Sale financial investments

For Available - for - Sale financial investments, the Group assesses at each reporting date whether there is an objective evidence that an investment is impaired. In the case of debt instruments classified as available – for - sale, the Group assesses individually whether there is an objective evidence of impairment.

However, the amount recorded for an impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the Statement of Profit or Loss. Future interest income is based on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

The interest income is recorded as part of ‘Interest and similar income’. If, in a subsequent period, the fair value of a debt instrument increases and the increase can be objectively related to a credit event occurring after the impairment loss was recognised in the Statement of Profit or Loss, the impairment loss is reversed through the Statement of Profit or Loss. In the case of equity investments classified as Available - for - Sale, objective evidence would also include a ‘significant’ or ‘prolonged’ decline in the fair value of the investment below its cost. Where there is an evidence of an impairment, the cumulative loss measured as the difference between the acquisition cost and the current fair value less any impairment loss on that investment previously

recognised in the Statement of Profit or Loss, is removed from equity and recognised in the Statement of Profit or Loss. Impairment losses on equity investments are not reversed through the Statement of Profit or Loss; increases in the fair value after impairment are recognised in Other Comprehensive Income.

Held-to-maturity financial assets

An impairment loss in respect of held-to-maturity financial assets measured at amortised cost is calculated as the difference between its carrying amount and the present value of estimated future cash flows discounted at the asset's original EIR and is recognized in Statement of Profit or Loss. Interest on impaired assets continues to be recognized through the unwinding of discount. When a subsequent event caused the amount of impairment loss to decrease, the decrease in impairment loss is reversed through Profit or Loss.

Collateral valuation

The Group seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, securities, letters of credit/guarantees, gold, real estate, receivables, and other non-financial assets. The fair value of the collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

Non-financial collateral such as real estate, is valued based on data provided by third parties such as independent valuers and other independent sources.

Collateral repossessed

The Group's policy is to determine whether a repossessed asset is best used for its internal operations or should be sold. Assets determined to be useful for the internal operations are transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

4.6.2 Repurchase Agreements

Securities purchased under agreements to resell at a specified future date are not recognised in the Statement of Financial Position. The consideration paid including accrued interest, is recorded in the Statement of Financial Position, under 'Other Financial Assets which reflects the transaction's economic substance as a loan by the Group. The difference between the purchase and resale prices is recorded in 'Net interest income' and is accrued over the life of the agreement using the EIR.

If securities purchased under agreement to resell, are subsequently sold to third parties, the obligation to return the securities is recorded as a short sale within 'Financial liabilities Held for Trading' and measured at fair value with any gains or losses included in 'Net trading income'.

4.7 Non – Financial Asset

4.7.1 Investment Property

Recognition and measurement

Investment properties are properties held either to earn rental income or for capital appreciation or both but not for sale in the ordinary course of business, based in the production or supply of goods or services or for administrative purposes. Investment properties are recognised if it is probable that future economic benefits that are associated with the investment property will flow to the Group and cost of the investment property can be reliably measured. Where the Group provides ancillary services to the occupants of a property it holds, the Group treats such a property as investment property if the services are insignificant to the arrangement as a whole.

If an owner-occupied property becomes an investment property that will be carried at fair value, an entity shall apply LKAS 16 "Property, plant and equipment" up to the date of change in use. When the use of property changes from owner-occupied to investment property, the property is remeasured to fair value and classified as Investment Property. The entity shall treat any difference at that date between the carrying amount of the property in accordance with LKAS 16 "Property, plant and equipment "and its fair value in the same way as a revaluation in accordance with LKAS 16 "Property, plant and equipment ". The land is non-depreciated. Accordingly, land and building classified as investment properties are stated at fair value.

The Group obtains the services of independent valuers who are not connected with the Company, in order to determine the fair value of its investment properties annually, for disclosure purposes and such fair values have been disclosed as required by Sri Lanka Accounting Standard - LKAS 40 on "Investment Property".

De-recognition

Investment properties are de-recognised when disposed of, or permanently withdrawn from the use since no future economic benefits are expected. Gains or losses arising from de-recognition of an investment property are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the statement of profit or loss.

4.7.2 Property, plant and equipment

Property, plant & equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially Property, Plant & Equipment are measured at its cost.

Recognition and measurement

Cost Model

Property, Plant and Equipment is stated at cost except land and building, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

Revaluation Model

Land and buildings are measured at fair value, less depreciation on buildings and impairment charged subsequent to the date of the revaluation. Valuations are performed every 3 to 5 years to ensure that the fair value of revalued asset does not differ materially from its carrying amount.

Any revaluation surplus is credited to the Revaluation Reserve included in the Equity of the Statement of Financial Position except to the extent that it reverses a revaluation decrease of the same asset previously recognised in Statement of Profit or Loss. In which case the increase is recognised in Statement of Profit or Loss. A revaluation deficit is recognised in the Statement of Profit or Loss except that a deficit directly offsetting a previous surplus on the same asset is directly offset against the surplus in the asset Revaluation Reserve.

Subsequent Cost

These are costs that are recognised in the carrying amount of an asset if it is probable that the future economic benefits embodied within that part of the cost will flow to the Group and it can be reliably measured. The costs of the day-to-day servicing of property and equipment are recognised in Profit or Loss as incurred.

Depreciation

The company has reassessed useful life time and changed the depreciation policy from reducing balance to the straight line method from 1st April 2016, further company has applied this changes accordance with LKAS 8-“Accounting Policies and Change in Accounting Estimates and Errors”.

The group provides depreciation from the date the assets are available for use and up to the date of disposal at the following rates on straight line basis over the periods appropriate to the estimated useful lives based on the pattern in which the asset’s future economic benefits are expected to be consumed by the Group.

Category of Asset	Rate of Depreciation per annum %
Building	5
Office Equipment	20
Plant & Machinery	20
Furniture & Fittings	12.5
Cutlery & Crockery	20
Motor Vehicles	20
Computers	33.33

Freehold lands are not depreciated. Depreciation of an asset ceases at the earlier of the date that the asset is classified as Held for Sale or the date that the asset is derecognised.

Depreciation does not cease when the asset becomes idle or is retired from active use unless the asset is fully depreciated.

Derecognition

Property, Plant and Equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other Operating Income' in the Statement of Profit or Loss in the year the asset is derecognised.

4.7.3 Intangible assets

The Group's intangible assets include the value of computer software.

Basis of recognition

An intangible asset is recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with the Sri Lanka Accounting Standards LKAS 38 on 'Intangible Assets'.

Intangible assets acquired separately are measured on initial recognition at cost. Intangible assets are stated in the Statement of Financial Position at cost less accumulated amortisation and accumulated impairment losses, if any.

Expenditure of internally developed software is recognised as an asset when the Group is able to demonstrate its intention and ability to complete the development and use the software in a manner

that will generate future economic benefits and can be reliably measured the costs to complete the development.

Subsequent expenditure

Subsequent expenditure on Intangible Assets is capitalised only when it increases the future economic benefits embedded in the specific asset to which it relates. All other expenditures are expensed as incurred.

Amortisation

Group owned intangible assets are amortised over the period of 10 years unless otherwise stated.

Derecognition of intangible assets

The carrying amount of an item of an intangible asset is derecognised on disposal or when no future economic benefits are expected from its use. The gain or loss arising from de-recognition of an item of intangible asset, is included in the Statement of Profit or Loss when the item is derecognised.

There were no restrictions on the title of the intangible assets as at the reporting date. Further there were no items pledged as securities for liabilities.

Intangible assets reported in note No. 37 only included computer software and cost of licences.

4.7.4 Impairment of non-financial assets

The Group assess at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

For assets, an assessment is made at each reporting date as to whether there are any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to

determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss.

4.7.5 Finance and operating leases

The determination of whether an arrangement is a lease or it contains a lease, is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

4.7.5.1 Finance lease

Agreements which transfer to counterparties substantially all the risks and rewards incidental to the ownership of assets, but not necessarily legal title, are classified as Finance Leases. When the Group is a lessor under finance leases the amounts due under the leases after deduction of unearned charges, are included in 'Lease Receivables to Group's or 'Loans and advances to customers', as appropriate. The finance income receivable is recognised in 'Net Interest Income' over the periods of the leases so as to give a constant rate of return on the net investment in the leases.

When the Group is a lessee under finance leases, the leased assets are capitalised and included in 'Property, Plant and Equipment' and the corresponding liability to the lessor is included in 'Other Liabilities'. A finance lease and its corresponding liability are recognised initially at the fair value of the asset or, if lower, the present value of the minimum lease payments. Finance charges payable are recognised in 'Net Interest Income' over the period of the lease based on the interest rate implicit in the lease so as to give a constant rate of interest on the remaining balance of the liability.

4.7.5.2 Operating lease

All other leases are classified as an operating leases. When acting as lessor, the Group includes the assets subject to operating leases in 'Property, plant and equipment' and accounts for them accordingly. Impairment losses are recognised to the extent that residual values are not fully recoverable and the carrying value of the assets is thereby impaired. When the Group is the lessee, leased assets are not recognised on the Statement of Financial Position. Rentals payable and receivable under operating leases are accounted for on a straight-line basis over the periods of the leases and are included in 'Interest expenses and 'Other operating income', respectively.

4.8 Financial Liabilities

4.8.1 Initial recognition and measurement

SLFRS 9 largely retains the existing requirements in LKAS 39 for the classification of financial liabilities. However, under LKAS 39, all fair value changes of liabilities designated under the fair value option were recognized in profit or loss. Under SLFRS 9 fair value changes are generally presented as follows:

- The amount of change in the fair value that is attributable to changes in the credit risk of the liability is presented in Other Comprehensive Income (OCI);
and
- The remaining amount of change in the fair value is presented in the Statement of Profit or Loss.

As per SLFRS 9, the Group classifies financial liabilities, other than financial guarantees and loan commitments into one of the following categories:

- Financial liabilities at fair value through profit or loss, and within this category as –
 - Held-for-trading; or
 - Designated at fair value through profit or loss;
- Financial liabilities measured at amortised cost.

The subsequent measurement of financial liabilities depends on their classification.

4.8.1.1 Financial liabilities at fair value through profit or loss (FVTPL)

Financial liabilities at FVTPL include financial liabilities held-for-trading and financial liabilities designated as such upon initial recognition as at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes there in recognized in the Statement of Profit or Loss.

Upon initial recognition, transaction costs are directly attributable to the acquisition, are recognized in Statement of Profit or Loss as incurred. The criteria for designation of financial liabilities at FVTPL upon initial recognition are the same as those of financial assets at FVTPL.

Changes in fair value are recorded in “Net fair value gains/ (losses) from financial instruments at fair value through profit or loss” with the exception of movements in fair value of liabilities designated at FVTPL due to changes in the Companies’ own credit risk. Interest paid/payable is accrued in “Interest expense”, using the EIR. The Group has not designated any financial liabilities as at fair value through profit or loss as at the end of the reporting period.

4.8.1.3 Financial liabilities at amortised cost

Financial liabilities issued by the Group that are not designated at FVTPL are classified as financial liabilities at amortised cost under “Due to banks”, “Due to depositors” “Other borrowings” as appropriate, where the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares. The Group classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in “Interest expense” in the Statement of Profit & Loss. Gains and losses too are recognised in the Statement of Profit & Loss when the liabilities are derecognised as well as through the EIR amortisation process.

4.8.2 Derecognition of financial liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid are recognised in Statement of Profit or Loss.

4.8.3 Reclassification of financial liabilities

Financial Liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

4.9 Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made for the amount of the obligation. The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date after taking in to account the risks and uncertainties surrounding the obligation as at that date. The expense relating to any provision, is presented in the Statement of Profit or Loss net of any reimbursement.

4.10 Retirement Benefit Obligations

4.10.1 Gratuity

All the employees of the Group are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983.

Employees those who have resigned or whose services are terminated other than by retirement are eligible to receive the terminal gratuity under the Payment of Gratuity Act No. 12 of 1983 at the rate of half of the gross salary applicable to the last month of the financial year in which the employment is terminated or resigned for each year of completed service, for those who have served in excess of 5 years.

The Group operates an approved non-contributory Gratuity Fund to facilitate the Gratuity payments to the retiring employees of the Group. The Group determines the adequacy of gratuity liability in terms of Payment of Gratuity Act No.12 of 1983. In order to meet this liability, the Group carries forward a provision in the Statement of Financial Position based on:

- Half a month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have complete service 5 to 10 years,
- One month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who completed the service over 10 years but not exceeding 15 years,
- One and half month's salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have completed the service over 15 years but not exceeding 25 years.
- Two months' salary of the last month's salary of the financial year for each completed year of service for all permanent employees who have completed the service over 25 years.

An actuarial valuation is carried out as every year end to ascertain the full liability under gratuity. The valuation was carried out as at 31st March 2019 by M/s Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries based on the Projected Unit Credit Method recommended by the actuarial present value of the defined benefit obligation (PV-DBO) under the PUC method.

Recognition of actuarial losses / gains

The Group recognised the total actuarial gain and losses that arose in calculating the Group's obligation in respect of gratuity in Other Comprehensive Income during the period which it occurred.

Recognition of past service cost (applicable only when a plan has been changed)

Past service cost are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the instruction of, or changes to the plan, past service costs are recognized immediately.

Management of the fund's assets

The assets of the Gratuity Fund and the Employees' Provident Fund are held separately from those of the Group and are independently administered by a separate management team appointed by the Group. As at 31st March 2019 fair value of plan assets is Rs. 246,528,429/- (2018 - Rs. 196,188,217/-).

4.10.2 Employees' provident fund (EPF)

The Parent company and employees contribute 20% and 10% respectively of the employee's monthly gross salary to the Employees' Provident Fund.

The subsidiary company and employee's contribute 12% and 8% respectively of the employee's monthly gross salary to the Employees' Provident Fund.

The Group operates an approved private fund to manage EPF and managed by the committee of management.

4.10.3 Employees' trust fund (ETF)

The Group contributes 3% of the employee's monthly gross salary excluding overtime to the Employees' Trust Fund maintained by the Employees Trust Fund Board.

4.11 Taxation

As per the Sri Lanka Accounting Standard – LKAS 12 on ‘Income Taxes’ tax expense (Tax income) is the aggregate amount included in determination of Profit or Loss for the period in respect of current and deferred taxes. Income tax expense is recognised in the Statement of Profit or Loss except to the extent it relates to items recognised directly in Equity or in Other Comprehensive Income (OCI), in which case it is recognised in the Statement of Changes in Equity or in OCI.

4.11.1. Current taxation

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted by the end of the reporting period. Accordingly, provision for taxation is made on the basis of the accounting profit for the year as adjusted for the taxation purpose in accordance with the provisions of the Inland Revenue Act No. 27 of 2017 and the amendments thereto.

4.11.2. Deferred tax

Deferred tax is provided using the liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences carrying forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profits will be available against which the deductible temporary differences and the carry forward of unused tax credits and unused tax losses can be utilised. The carrying amount of a deferred tax asset is reviewed at end of the reporting period and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised.

Unrecognised deferred tax asset are reassessed at the end of the reporting period and are recognised to the extent that it is probable that the future taxable profit will allow the deferred tax asset to be recovered. Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or subsequently enacted at end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Due to the end of owner occupation of the freehold land and building have been transferred to investment property, the differed tax impact on such adjustment has reversed to the statement of other comprehensive income.

4.11.3 Value Added Tax on Financial Services (FVAT)

VAT on Financial Services is calculated in accordance with VAT Act No. 14 of 2002 and subsequent amendment thereto. The value base for the computation of Value Added Tax on Financial Services is calculated by adjusting the depreciation computed on rates prescribed by the Department of Inland Revenue to the accounting profit before Income Tax and emoluments payable.

4.11.4 Crop Insurance Levy (CIL)

As per the provisions of the Section 14 of the Finance Act No.12 of 2013, the CIL was introduced with effect from April 01, 2013 and is payable to the National Insurance Trust Fund. Currently CIL is payable at 1% of the profit after tax.

4.11.5 Withholding Tax on Dividends

Dividend distributed out of taxable profit of the subsidiaries attracts WHT at source and is not available to set off against the tax liability of the Company. Thus, the WHT deducted at source, on the dividends distributed by the subsidiaries is charged to the Consolidated Statement of Profit or Loss as a consolidation adjustment.

Withholding tax that arises from the distribution of dividends by the Group is recognised at the time of the liability is payable.

4.11.6 Nation Building Tax (NBT) on Financial Services

With effect from 01st January 2014, NBT rate of 2% was introduced on supply of financial services via an amendment to the NBT Act No. 09 of 2009. NBT is chargeable on the same base used for calculation of VAT on Financial Services.

4.11.7. Economic Service Charge (ESC)

As per provisions of the Economic Service Charge (ESC) Act No. 13 of 2006 and amendments thereto. Currently the ESC is payable on aggregate turnover of the Company at 0.5% and is deductible from income tax payable. Unclaimed ESC, if any, can be carried forward and set off against the income tax payable in the three subsequent years including the current year of assessment.

4.11.8 Debt Repayment Levy (DRL) on financial services

As per the Finance Act No. 35 of 2018, with effect from October 1, 2018 to 31st December 2021. DRL of 7% was introduced on the value addition attributable to the supply of financial services by each financial institution. DRL is chargeable on the same base used for calculation of VAT on financial services.

4.12 Recognition of Income

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The following specific recognition criteria must also be met before revenue is recognised.

4.12.1 Interest income

Under both SLFRS 9 and LKAS 39, interest income is recorded using effective interest rate (EIR) method for all financial instruments measured at amortised cost and financial instruments designed at FVTPL. Interest income on interest bearing financial assets measured at FVOCI under SLFRS 9, similarly to interest bearing financial assets classified as available for sale or held to maturity under LKAS 39 is also recorded by using the EIR method. EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instruments or, when appropriate, a shorter period to the net carrying amount of the financial asset.

EIR (and therefore, the amortised cost of the assets) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Group recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages and other characteristics of the product life cycles (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial assets are revised for reasons other than credit risk, the adjustments is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction of interest income. The adjustment is subsequently amortised through interest and similar income in the Statement of Profit and Loss.

When a financial asset becomes credit-impaired, and is therefore regarded as “Stage 3”, the Group calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset, if the financial asset cures and is no longer credit-impaired, the Group reverts to calculating interest income on a gross basis.

Interest income on all trading assets and financial assets mandatorily required to be measured at FVTPL is recognised using the contractual interest rate under net interest income.

4.12.2 Net Fee and commission income

Service Income

Revenue from rendering of services is recognized in the accounting period in which the services are rendered or performed

Fee and Commission Income

The Group earns fee and commission income from a diverse range of services, it provides to its customers. Fee and commission income relates mainly to transactions and services fees which are charged from customers to provide relevant financial services. It mainly include CRIB verification charges, Yard fees, Loan processing fees and vehicles transfer fees, income account on cash basis.

Fee and Commission Expense

Fee and commission expense mainly relates to transactions and services fees which are expensed to third parties on behalf of customers. These expenses mainly includes RMV expenses and Insurance expenses. Fee and commission expenses are recognised on an accrual basis.

4.12.3 Dividend income

Dividend income is recognised when the right to receive the payment is established. Usually, this is the ex-dividend date for equity securities. Dividends are presented in the 'Other Operating Income' in Statement of Profit or Loss.

4.12.4 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'Held for Trading' other than interest income.

4.12.5 Other Income

The recognition of other income is accounted based on accrual basis.

4.13 Dividends on Ordinary Shares

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Group's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the Group. Dividends for the year that are approved after the reporting date are disclosed as an event after the reporting date.

4.14 Earnings per Share

The Group presents basic Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period.

4.15 Operating Segments

A business segment is a distinguishable component of the Group, engaged in providing products or services subject to risks and returns that are different from those of other business segments. Operating results of those segments are reviewed regularly by the Board of Directors to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

The primary business format is based on the core business activities of the Group, namely, lease, hire purchase & consumer durable, loans, pawning, hiring of vehicles, investing in shares, investing in government securities, collaboration finance & others. The management uses its judgment in determining the compositions of these core business activities by taking into account the objective of reporting financial information by segment as set forth in Sri Lanka Accounting Standard, SLFRS 8 "Operating Segments", segment reporting and qualitative characteristics of financial statements as identified in the Framework for the Preparation and Presentation of Financial Statements.

The Group's business activities are carried out in Sri Lanka. Consequently, the economic environment in which the Group operates in, is not subject to risk and returns that are significantly deferent on a geographical basis. Hence, disclosure by geographical region has not been provided. For the purpose of segment reporting disclosures, the information presented in respect of the Group's business segments is based on the Group's management and internal reporting structure.

Income recognised in segments is an income which is directly identified and reported in those segments and expenses directly identified to a particular segment are charged accordingly and expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period. Unallocated items mainly comprise of head office expenses. Measurement of segments assets, liabilities, segment revenue and results are based on the group accounting policies. Segments revenue, results, assets and

liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Segment capital expenditure is the total cost incurred during the period to acquire segments assets that are expected to be used for more than one accounting period.

5 NEW ACCOUNTING STANDARDS ISSUED BUT NOT YET APPLICABLE AS AT 31ST MARCH 2019

The following new accounting standards and amendments were issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), which are not yet applicable as at 31st March 2019 and earlier application is permitted; however, the Group has not early adopted the new or amended standards in preparing these Consolidated Financial Statements.

5.1 SLFRS 16 Leases

Sri Lanka Accounting Standard – SLFRS 16 “Leases” (SLFRS 16) which has been issued but not yet effective as at the reporting date, has not been applied in preparing these Consolidated Financial Statements.

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, i.e. the customer (‘Lessee’) and the supplier (‘Lessor’). SLFRS 16 will replace Sri Lanka Accounting Standard – LKAS 17 (Leases) and related interpretations. SLFRS 16 introduces a single accounting model for the lessee, eliminating the present classification of leases in LKAS 17 as either operating leases or finance leases.

The new Standard requires a lessee to:

- recognise assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value
- present depreciation of lease assets separately, from interest on lease liabilities in the Statement of Profit and Loss.
- SLFRS – 16 substantially carries forward the lessor accounting requirement in LKAS – 17.

Accordingly, a lessor continues to classify its leases as operating lease or finance lease and to account for those two types of leases differently.

SLFRS – 16 will become effective on 1st January 2019. The Group has no material impact on the implementation of the above Standard. The Group plans to apply this standard on the respective effective date.

6 TRANSITIONAL DISCLOSURES

The following notes set out the impact of adopting Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments) at transition date, 1st April 2018 on the Statement of Financial Position, and retained earnings including the effect of replacing incurred credit loss calculations under Sri Lanka Accounting Standard - LKAS 39 (Financial Instruments - recognition and measurement) with expected credit loss (ECL) calculations under SLFRS 9.

6.1 Reclassification

These adjustments reflects the movement of balance between categories on the Statement of Financial Position with no impact to shareholders equity. There is no change to the carrying value of the balances as a result of the reclassification.

6.2 Re-Measurement

These adjustments, which include expected credit loss, result in a change to the carrying value of the items on the Statement of Financial Position with an impact to shareholders' equity net of tax.

6.3 Reconciliation between the carrying amounts under LKAS 39 to the balances reported under SLFRS 9 as at 1st April 2018**6.3.1 Company**As at 1st April 2018

		LKAS 39 Measurement		Reclassifica tion	Re- measureme nt	SLFRS 09	
	Note	Catego ry	Amount Rs	Rs	Rs	Category	Amount Rs
Financial assets							
Cash & cash equivalents	B	L&R	510,364,191	-	-	AC	510,364,191
Repurchase Agreement	B	L&R	638,820,384	-	-	AC	638,820,384
Placements with banks	B	L&R	476,510,425	-	-	AC	476,510,425
Treasury bills	n/a	HFT	544,527,194	-	-	FVTPL	544,527,194
Quoted equity investment	n/a	HFT	206,737,492	-	-	FVTPL	206,737,492
Loans and advances	25.4 & B	L&R	7,877,246,355	-	35,493,438	AC	7,912,739,793
Lease rentals receivable	26.4 & B	L&R	17,553,965,443	-	(37,507,140)	AC	17,516,458,303
Hire purchase rentals	27.4 & B	L&R	62,388,835	-	(25,856,748)	AC	36,532,088
Treasury bonds	A	AFS	380,942,702	-	-	FVOCI	380,942,702
Unquoted equity investment	A	AFS	579,250	-	-	FVOCI	579,250
Other financial assets	B	L&R	323,549,421			AC	323,549,421
			28,575,631,692	-	(27,870,450)		28,547,761,242

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS

Year ended 31st March 2019

	LKAS 39 Measurement			Reclassifi	Re-	SLFRS 09	
	Note	Catego	Amount	cation	measurement	Catego	Amount
		ry	Rs	Rs	Rs	ry	Rs
Non -financial assets							
Other trading stocks	n/a	n/a	140,786,132	-	-	n/a	140,786,132
Other non-financial assets	n/a	n/a	115,538,483	-	-	n/a	115,538,483
Investments in associates	n/a	n/a	57,362,904	-	-	n/a	57,362,904
Investments in subsidiaries	n/a	n/a	16,924,038	-	-	n/a	16,924,038
Property, plant & equipment	n/a	n/a	2,167,727,899	-	-	n/a	2,167,727,899
Intangible assets	n/a	n/a	56,746,867	-	-	n/a	56,746,867
Deferred tax assets	n/a	n/a	647,838,785	-	7,803,726	n/a	655,642,511
			3,202,925,108		7,803,726		3,210,728,834
Total Assets			31,778,556,800		(20,066,724)		31,758,490,076

	Note	LKAS 39 Measurement		Reclassifi	Re-	SLFRS 09	
		Catego	Amount	cation	measurement	Categor	Amount
		ry				y	
Financial liabilities							
Due to banks	n/a	AC	11,042,104,540	-	-	AC	11,042,104,540
Due to customers	n/a	AC	13,256,951,431	-	-	AC	13,256,951,431
Debentures	n/a	AC	1,645,799,918	-	-	AC	1,645,799,918
Derivative financial liabilities	n/a	HFT	39,238,389	-	-	FVTPL	39,238,389
Other financial liabilities	n/a	AC	456,262,778	-	-	AC	456,262,778
			26,440,357,056	-	-		26,440,357,056

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
Year ended 31st March 2019

	Note	LKAS 39 Measurement		Reclassifi	Re-	SLFRS 09	
		Catego	Amount	cation	measurement	Categor	Amount
		ry				y	
Non - financial liabilities							
Other non-financial liabilities	n/a	n/a	36,923,025	-	-	n/a	36,923,025
Income tax liabilities	n/a	n/a	25,004,302	-	-	n/a	25,004,302
Retirement benefit liabilities	n/a	n/a	64,596,330	-	-	n/a	64,596,330
Deferred tax liabilities	n/a	n/a	981,828,524	-	-	n/a	981,828,524
			1,108,352,181	-	-		1,108,352,181
Total Liabilities			27,548,709,237				27,548,709,237

	Note	LKAS 39 Measurement		Reclassifi	Re-	SLFRS 09	
		Categ	Amount	cation	measurement	Categor	Amount
		ory				y	
Equity							
Stated Capital	n/a	n/a	613,980,000	-	-	n/a	613,980,000
Reserves	n/a	n/a	2,115,890,867	-	-	n/a	2,115,890,867
Retained Earnings	B	n/a	1,499,976,696	-	(20,066,724)	n/a	1,479,909,972
Total equity			4,229,847,563	-	(20,066,724)		4,209,780,839

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS

Year ended 31st March 2019

6.3.2 Group

As at 1st April 2018

	Note	LKAS 39 Measurement	Reclassification	Re-measurement	SLFRS 09	
		Category	Amount Rs.	Rs.	Rs.	Category Amount Rs.
Financial assets						
Cash & cash equivalents	B	L&R	551,552,815	-	-	AC 551,552,815
Repurchase Agreement	B	L&R	638,820,384	-	-	AC 638,820,384
Placements with banks	B	L&R	476,510,425	-	-	AC 476,510,425
Treasury bills	n/a	HFT	544,527,194	-	-	FVTPL 544,527,194
Quoted equity investment	n/a	HFT	206,737,492	-	-	FVTPL 206,737,492
Loans and advances	25.4 & B	L&R	7,877,373,054	-	35,493,438	AC 7,912,866,492
Lease rentals receivable	26.4 & B	L&R	17,553,965,443	-	(37,507,140)	AC 17,516,458,303
Hire purchase rentals	27.4 & B	L&R	62,388,835	-	(25,856,747)	AC 36,532,087
Treasury bonds	A	AFS	380,942,702	-	-	FVOCI 380,942,702
Unquoted equity investment	A	AFS	19,627,640	-	-	FVOCI 19,627,640
Other financial assets	n/a	L&R	349,638,381	-	-	AC 349,638,381
			28,662,084,365	-	(27,870,450)	28,634,213,915

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS

Year ended 31st March 2019

	Note	LKAS 39 Measurement	Reclassif ication	Re- measurement t	SLFRS 09	
		Catego ry	Amount Rs.	Rs.	Categor y	Amount Rs.
Non -financial assets						
Other trading stocks	n/a	n/a	140,786,132	-	n/a	140,786,132
Other non- financial assets	n/a	n/a	115,985,991	-	- n/a	115,985,993
Investments in associates	n/a	n/a	57,362,904	-	- n/a	57,362,904
Property, plant & equipment	n/a	n/a	2,168,021,698	-	- n/a	2,168,021,698
Intangible assets	n/a	n/a	56,746,867	-	- n/a	56,746,867
Deferred tax assets	n/a	n/a	648,285,324	-	7,803,726 n/a	656,089,050
			3,187,188,916		7,803,726	3,214,041,034
Total Assets			31,849,273,281		(20,066,724)	31,829,206,557

	Note	LKAS 39 Measurement	Reclassif ication	Re- measurement t	SLFRS 09	
		Catego ry	Amount		Categor y	Amount
Financial liabilities						
Due to banks	n/a	AC	11,053,987,058	-	- AC	11,053,987,058
Due to customers	n/a	AC	13,256,951,431	-	- AC	13,256,951,431
Debentures	n/a	AC	1,645,799,918	-	- AC	1,645,799,918
Derivative financial liabilities	n/a	HFT	39,238,389	-	- FVTPL	39,238,389
Other financial liabilities	n/a	AC	473,689,206	-	- AC	473,689,206
Total financial liabilities			26,469,666,002	-	-	26,469,666,002

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS

Year ended 31st March 2019

Note	LKAS 39 Measurement	Reclassif	Re-	SLFRS 09
	Category	ication	measurement	
	Rs.	Rs.	Rs.	Rs.
Non - financial liabilities				
Other non-financial liabilities	n/a	-	-	36,923,025
Income tax liabilities	n/a	-	-	26,636,671
Retirement benefit liabilities	n/a	-	-	66,191,109
Deferred tax liabilities	n/a	-	-	981,871,560
	1,111,622,365	-	-	1,111,622,365
Total Liabilities	27,581,288,367			27,581,288,367

LKAS 39 Measurement	Reclassif	Re-	SLFRS 09
Category	ication	measurement	
Rs.	Rs.	Rs.	Rs.
Equity			
Stated Capital	n/a	-	613,980,000
Reserves	n/a	-	2,115,890,867
Retained Earnings	n/a	(20,066,724)	1,498,188,028
Total equity	4,248,125,618	(20,066,724)	4,228,058,894

Notes

A. Financial assets previously classified under available for sale category have been reclassified as financial assets fair value through other comprehensive income (FVOCI) upon adoption of SLFRS 09.

B. As at 01st April 2018, financial assets previously classified as other loans and receivables have been reclassified as debt & other instruments at amortised cost. These assets met the “Solely Payment of Principal and Interest” (SSPI) criterion. They were not actively traded and held with the intention to collect cash flows and without the intention to sell.

C. The impact of SLFRS 9 re measurement on is set out below under note D

Alliance Finance Company PLC**NOTES TO THE FINANCIAL STATEMENTS****Year ended 31st March 2019****D. Deferred tax impact on Retained Earnings by Transition to SLFRS 9.**

	Note	Company	Group
		Rs.	Rs.
Closing balance under LKAS 39 as at 31 st March 2018		1,499,976,696	1,518,254,751
Re-measurement adjustments on adoption of SLFRS 9			
Recognition of SLFRS 9 ECLs for loans and investments		(27,870,450)	(27,870,450)
Deferred tax on above	D	7,803,726	7,803,726
Total change in equity due to adoption of SLFRS 9		(20,066,724)	(20,066,724)
Opening balance under SLFRS 9 as at 1st April 2018		1,479,909,972	1,498,188,027

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2019

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
7 GROSS INCOME				
Interest income (Note 8.1)	6,832,724,997	6,478,637,880	6,835,674,145	6,481,420,530
Fee & commission income (Note No 9)	180,053,256	202,891,784	257,538,486	279,284,773
Net trading income (Note No 10)	(34,804,790)	3,333,736	(34,804,790)	3,333,736
Other operating income (Note No. 11)	268,891,481	187,261,017	268,918,924	149,673,127
	<u>7,246,864,944</u>	<u>6,872,124,417</u>	<u>7,327,326,765</u>	<u>6,913,712,166</u>
8 NET INTEREST INCOME				
8.1 Interest Income				
Financial investments - recognised through profit or loss	97,060,174	109,237,293	97,060,174	109,237,293
Loans and advances (Note No. 8.1.1)	1,931,855,938	2,250,881,453	1,931,855,938	2,250,881,453
Lease rentals receivable	4,529,533,148	3,978,641,847	4,529,533,148	3,978,641,847
Hire purchase & consumer durables	4,586,859	20,208,561	4,586,859	20,208,561
Financial investments - fair value through other comprehensive income	28,861,850	-	28,861,850	-
Financial investments - available for sale	-	25,948,503	-	28,693,596
Repurchase agreements	13,542,238	16,589,251	13,542,238	14,861,380
Placements with banks & other financial institutions	63,526,721	77,130,972	66,475,869	78,896,400
Interest income accrued on impaired loans & receivables	163,758,069	-	163,758,069	-
Total interest income	<u>6,832,724,997</u>	<u>6,478,637,880</u>	<u>6,835,674,145</u>	<u>6,481,420,530</u>
8.1.1 Interest Income from Loans & Advances				
Interest income from loans	698,387,181	838,218,729	698,387,181	838,218,729
Interest income from pledge loan	239,402,225	349,599,848	239,402,225	349,599,848
Interest income from gold loan	369,534,321	254,260,958	369,534,321	254,260,958
Interest income from micro finance	624,532,211	808,801,918	624,532,211	808,801,918
	<u>1,931,855,938</u>	<u>2,250,881,453</u>	<u>1,931,855,938</u>	<u>2,250,881,453</u>
8.2 Interest Expenses				
Due to banks	1,255,747,782	1,297,102,851	1,255,747,782	1,297,102,851
Due to customers (fixed deposits & savings accounts)	1,642,290,238	1,488,565,018	1,642,290,238	1,483,795,253
Debt instruments issued and other borrowed funds	137,575,959	289,885,133	137,575,959	289,885,133
Other financial liabilities	208,420,190	131,347,559	208,420,190	131,347,559
Total interest expenses	<u>3,244,034,169</u>	<u>3,206,900,561</u>	<u>3,244,034,169</u>	<u>3,202,130,796</u>
Net interest income	<u>3,588,690,828</u>	<u>3,271,737,319</u>	<u>3,591,639,976</u>	<u>3,279,289,734</u>
9 FEE AND COMMISSION INCOME				
9.1 Fees and Commission Income				
Commission income	-	-	87,985,749	76,392,989
Service charges	134,405,904	155,856,237	123,905,385	155,856,237
Transfer fees	35,504,261	35,157,897	35,504,261	35,157,897
Other fees	10,143,091	11,877,650	10,143,091	11,877,650
Total fee and commission income	<u>180,053,256</u>	<u>202,891,784</u>	<u>257,538,486</u>	<u>279,284,773</u>
9.2 Fee and Commission Expenses				
Brokerage	(89,245,684)	(48,859,669)	(89,245,684)	(48,859,669)
Credit related fees	(125,350,740)	(113,118,146)	(125,576,887)	(113,126,044)
Total fee and commission expenses	<u>(214,596,424)</u>	<u>(161,977,815)</u>	<u>(214,822,571)</u>	<u>(161,985,713)</u>
Net Fee and Commission Income	<u>(34,543,168)</u>	<u>40,913,969</u>	<u>42,715,915</u>	<u>117,299,060</u>

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
For the year ended 31st March 2019

10	NET GAINS /(LOSSES) FROM TRADING	Company		Group	
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
	Profit /(loss) on sale of financial investments -FVTPL	(4,076,301)	6,378,862	(4,076,301)	6,378,862
	Profit /(loss) on sale of foreign currencies	3,690,318	(7,718,303)	3,690,318	(7,718,303)
	Fair value gain/(loss) on financial investments - FVTPL	(40,281,703)	4,673,177	(40,281,703)	4,673,177
	Fair value gain on treasury bond reclassified to profit or loss	9,539,227	-	9,539,227	-
	Impairment adjustment on unquoted investment reclassified to profit or loss	(3,676,331)	-	(3,676,331)	-
		<u>(34,804,790)</u>	<u>3,333,736</u>	<u>(34,804,790)</u>	<u>3,333,736</u>

During the financial year 2018/19, Company has reclassified the treasury bonds which were classified under fair value through other comprehensive income category, to fair value through profit and loss.

11	OTHER OPERATING INCOME				
	Income from financial investment - FVTPL	5,635,045	43,453,580	5,635,045	5,089,580
	Profit/(loss) on disposal of property, plant & equipment	912,208	1,746,639	912,208	1,746,639
	Fair value gain on investment property	64,176,075	-	64,176,075	-
	Profit on sale of vehicles	68,443,282	21,676,595	68,443,282	21,676,595
	Rental income from hiring vehicles	27,463,131	25,614,507	27,463,131	25,614,507
	Income from sale of tiles & furniture	3,413,430	753,552	3,413,430	753,552
	Bad debt recoveries	33,790,120	48,350,905	33,790,120	48,350,905
	Others	65,058,190	45,665,239	65,085,633	46,441,349
	Total Other Operating Income	<u>268,891,481</u>	<u>187,261,017</u>	<u>268,918,924</u>	<u>149,673,127</u>

12 **IMPAIRMENT CHARGES FOR LOANS AND OTHER LOSSES**

Impairment Charges / (Write Back)

Lease rentals receivable	134,982,865	158,087,866	134,982,865	158,087,866
Hire purchase rentals receivable	(24,993,983)	(7,977,866)	(24,993,983)	(7,977,866)
Loans and advances	326,866,464	265,493,933	326,866,464	265,493,933
	<u>436,855,346</u>	<u>415,603,933</u>	<u>436,855,346</u>	<u>415,603,933</u>

Bad Debts Written off

Lease rentals receivable	292,046,622	74,508,103	292,046,622	74,508,103
Hire purchase rentals receivable	18,268,907	348,712	18,268,907	348,712
Loans and advances	66,323,935	22,433,599	66,323,935	22,433,599
	<u>376,639,464</u>	<u>97,290,414</u>	<u>376,639,464</u>	<u>97,290,414</u>
	<u>813,494,810</u>	<u>512,894,347</u>	<u>813,494,810</u>	<u>512,894,347</u>

12.1 **IMPAIRMENT CHARGE / (REVERSAL) TO THE INCOME STATEMENT**

	2019 IFRS 09			2018 LKAS 39	
	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.	Rs.
Loans and advances - at amortised cost					
- Collective impairment	41,039,612	33,201,935	107,508,874	181,750,421	199,861,196
- Individual impairment	-	-	145,116,042	145,116,042	65,632,737
Lease rentals receivable & stock out on hire - at amortised cost					
- Collective impairment	(47,100,793)	68,727,587	93,131,246	114,758,040	158,087,866
- Individual impairment	-	-	20,224,826	20,224,826	-
Hire purchase rentals receivable & stock out on hire - at amortised cost					
- Collective impairment	(505,018)	(513,321)	317,488	(700,851)	(7,977,866)
- Individual impairment	-	-	(24,293,132)	(24,293,132)	-
	<u>(6,566,199)</u>	<u>101,416,201</u>	<u>342,005,344</u>	<u>436,855,346</u>	<u>415,603,933</u>

13 **PERSONNEL EXPENSES**

	Company		Group	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Salaries and bonus	570,406,203	615,785,757	591,105,743	643,711,879
Gratuity charge for the year	32,690,685	34,293,582	33,119,199	34,659,274
Employer's contribution to EPF	113,776,567	101,463,722	114,574,185	102,169,386
Employer's contribution to ETF	17,067,629	15,219,767	17,267,034	15,396,183
Staff welfare	30,863,068	21,230,004	31,328,469	21,817,392
Other allowances & staff related expenses	15,547,247	12,796,754	15,574,208	13,074,520
	<u>780,351,399</u>	<u>800,789,586</u>	<u>802,968,838</u>	<u>830,828,634</u>

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2019

		Company		Group	
		2019	2018	2019	2018
		Rs.	Rs.	Rs.	Rs.
14 OTHER OPERATING EXPENSES					
14.1					
	Auditors' remuneration				
	Auditors' remuneration	1,050,065	913,100	1,162,565	1,035,200
	Non audit fees and expenses	253,000	72,000	305,500	121,300
	Directors emoluments and other expenses (14.1.1)	59,293,719	62,795,530	60,893,719	65,995,530
	Professional fees	8,981,274	4,833,217	8,981,274	4,833,217
	Office administration & establishment expenses	392,279,805	341,355,386	398,874,142	350,684,247
	Advertising & business promotion expenses	100,474,297	37,675,286	108,840,527	50,195,842
	Motor vehicle running & maintenance	547,089,050	477,842,832	550,063,651	480,660,405
	Loss on fair value of unquoted securities	-	443,487	-	443,487
	Others	115,260,874	101,277,755	115,260,874	101,277,755
		<u>1,224,682,084</u>	<u>1,027,208,593</u>	<u>1,244,382,252</u>	<u>1,055,246,983</u>
14.1.1	Directors emoluments and other expenses represents the fees, salaries, allowances and other expenses (except gratuity provision) of both Executive and Non-Executive Directors of the Company.				
15 DEPRECIATION AND AMORTIZATION					
	Depreciation property, plant and equipment	128,472,318	108,860,544	128,599,325	109,018,674
	Amortization of intangible assets	8,571,853	7,218,083	8,571,853	7,218,083
		<u>137,044,171</u>	<u>116,078,627</u>	<u>137,171,178</u>	<u>116,236,757</u>
16 TAXES ON FINANCIAL SERVICES					
	Value added tax	163,627,044	220,369,251	163,627,044	220,369,251
	Nation building tax	19,235,821	25,866,666	19,235,821	28,266,666
	Debt repayment levy	38,327,820	-	38,327,820	-
		<u>221,190,685</u>	<u>246,235,917</u>	<u>221,190,685</u>	<u>248,635,917</u>
17 TAXATION					
17.1 The Major Components of Income Tax Expense					
	Current Income Tax Expenses				
	Current tax on profit for the year (Note No. 17.2)				
		245,322,832	146,231,978	256,492,414	153,242,525
	Under/ (over) provision of current taxes in respect of prior years	(5,788,748)	(127,402,223)	(6,619,664)	(127,402,223)
		<u>239,534,084</u>	<u>18,829,755</u>	<u>249,872,750</u>	<u>25,840,302</u>
	Deferred Tax Expenses				
	Deferred taxation charge/ (reversal) (Note No. 17.4)	56,853,545	60,480,571	56,788,293	60,392,843
		<u>296,387,629</u>	<u>79,310,326</u>	<u>306,661,043</u>	<u>86,233,145</u>
	Current Tax on Profit for the Year - Subsidiary				
	Alfinco Insurance Brokers (Pvt) Ltd			10,273,414	6,922,819
				<u>10,273,414</u>	<u>6,922,819</u>
17.2 Reconciliation of Accounting Profit and Taxable Income					
	A reconciliation between the tax expense and the accounting profit multiplied by government of Sri Lanka's tax rate for the years ended 31st March 2019 and 2018 is as follows.				
		Company		Group	
		2019	2018	2019	2018
		Rs.	Rs.	Rs.	Rs.
	Accounting profit before income taxation	602,577,398	788,639,433	640,368,458	774,353,482
	Tax effect of non deductible expenses	5,580,014,209	6,241,279,888	5,582,204,005	6,242,405,062
	Tax effect of other allowable credits	(3,615,019,561)	(5,350,145,775)	(3,618,058,204)	(5,357,863,745)
	Tax effect of exempt income	(943,630,215)	(930,283,414)	(940,681,067)	(884,366,999)
	Tax effect of Tax losses claimed	(747,788,858)	(227,233,067)	(747,788,858)	(227,233,067)
		<u>876,152,973</u>	<u>522,257,065</u>	<u>916,044,334</u>	<u>547,294,733</u>
	Tax rate at 28%	<u>28%</u>	<u>28%</u>	<u>28%</u>	<u>28%</u>
	Income tax for the year	<u>245,322,832</u>	<u>146,231,978</u>	<u>256,492,414</u>	<u>153,242,525</u>
17.3 Applicable Income Tax Rates					
	Alfinco Insurance Brokers (Pvt) Ltd			28%	
	Macbertan (Pvt) Ltd			28%	

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2019

17.4 Deferred Tax Expense/(Income)

The following table shows deferred tax expense recorded in the profit or loss due to changes in the deferred tax assets and liabilities.

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Deferred Tax Liabilities				
Defined benefit obligation - Profit or Loss	9,723,450	4,121,567	9,625,665	4,031,760
Other temporary differences	346,630,801	-	346,630,801	-
Accelerated depreciation - Leased assets	1,439,630	2,174,671	1,439,630	2,174,671
Accelerated depreciation - Own assets	29,965,651	68,611,239	29,998,184	68,611,239
Lease rentals	-	194,028,177	-	194,028,177
	<u>387,759,532</u>	<u>268,935,654</u>	<u>387,694,280</u>	<u>268,845,847</u>
Deferred Tax Assets				
Accelerated depreciation - Own assets	-	-	-	(2,079)
Lease rentals	328,475,187	-	328,475,187	-
Other temporary differences	-	208,687,350	-	208,687,350
	<u>328,475,187</u>	<u>208,687,350</u>	<u>328,475,187</u>	<u>208,685,271</u>
Total Deferred tax expense / (reversal)	<u>59,284,345</u>	<u>60,248,304</u>	<u>59,219,093</u>	<u>60,160,576</u>
Defined benefit obligation - other comprehensive income	(2,430,800)	232,267	(2,430,800)	232,267
	<u></u>	<u></u>	<u></u>	<u></u>
Deferred tax expense adjusted through profit or loss	<u>56,853,545</u>	<u>60,480,571</u>	<u>56,788,293</u>	<u>60,392,843</u>

18 EARNINGS PER ORDINARY SHARE

Basic earnings per share is calculated by dividing the net profit for the year attributable to ordinary shareholders by weighted average number of ordinary shares outstanding during the year, as per LKAS 33- Earnings Per Share.

	Company		Group	
For the year ended 31 st March	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Amounts Used as the Numerators:				
Net profit for the year attributable to equity shareholders for basic earnings per ordinary share	306,189,769	709,329,107	323,784,550	681,934,161
Number of Ordinary Shares Used as Denominators for Basic Earnings per share				
Weighted average number of ordinary shares in issue	33,696,000	33,696,000	33,696,000	33,696,000
Basic earnings per ordinary share (Rs.)	9	21	10	20

The company diluted EPS is equal to the Basic Earning per Ordinary Share since the Company does not have any convertible securities as at the reporting date.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2019

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
19 DIVIDENDS				
19.1 Declared and Paid During the Year				
Dividends on ordinary shares:				
Interim dividends Rs. 4.15 per share	-	139,838,400	-	139,838,400
Final dividend proposed for 2019 - Rs.1 per share (2018 - Rs.2.25/- per share)	33,696,000	75,816,000	33,696,000	75,816,000
	<u>33,696,000</u>	<u>215,654,400</u>	<u>33,696,000.00</u>	<u>215,654,400</u>
Dividend Per Share (Rs.)	1	6	1	6
Dividend Yield	2	10	2	10

The Board of Directors of the Company has recommended the payment of a final dividend of Rs. 1/- per share to the ordinary shareholders of the Company for the year ended 31st March 2019. (Company declared Rs. 2.25 per share in 2018). Final dividend recommended by the Board is to be approved at the forthcoming Annual General Meeting to be held on 31st July 2019. The Company paid interim dividend of Rs. Rs.4.15 per share in 2017/2018.

In accordance with LKAS 10 on 'Events After the Reporting Period', above proposed final dividend have not been recognised as a liability as at the year end.

20 NET ASSETS VALUE PER ORDINARY SHARE

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
As at 31st March,				
Amount used as the numerator				
Total equity attributable to equity holders of the Company	4,510,256,769	4,229,847,563	4,546,180,295	4,248,125,618
Number of ordinary shares used as the denominator				
Total number of ordinary shares	33,696,000	33,696,000	33,696,000	33,696,000
Net assets value per ordinary share	134	126	135	126

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As at 31st March 2019

21 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of Significant Accounting Policies describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognized. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 (2018: LKAS 39) on 'Financial Instrument Recognition & Measurement' under the headings of the Statement of Financial Position.

21.1 Company

As at 31st March 2019	Fair Value Through Profit or Loss	Amortised Cost	Fair value through Other Comprehensive Income	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	281,584,736	-	281,584,736
Repurchase agreements	-	210,053,286	-	210,053,286
Placements with banks & financial institutions	-	732,163,843	-	732,163,843
Financial assets recognised through profit or loss - measured at fair value	1,807,179,087	-	-	1,807,179,087
Loans and advances - at amortised cost	-	6,512,027,536	-	6,512,027,536
Lease rentals receivable - at amortised cost	-	18,842,072,665	-	18,842,072,665
Hire purchase rentals receivable - at amortised cost	-	12,349,092	-	12,349,092
Financial assets - fair value through other comprehensive income	-	-	579,250	579,250
Other financial assets	-	405,850,825	-	405,850,825
Total Financial Assets	1,807,179,087	26,996,101,983	579,250	28,803,860,320
			Other Financial Liabilities at amortised cost	Total
			Rs.	Rs.
Financial Liabilities				
Due to banks			12,589,469,582	12,589,469,582
Due to customers			12,493,682,808	12,493,682,808
Debt Instruments issued and other borrowed funds			819,062,771	819,062,771
Derivative financial liabilities			99,770,779	99,770,779
Other financial liabilities			781,933,240	781,933,240
Total Financial Liabilities			26,783,919,180	26,783,919,180

21.2 Company

As at 31st March 2018	Fair Value Through Profit or Loss	L & R at Amortised Cost	AFS at Fair Value	Total
	Rs.	Rs.	Rs.	Rs.
Financial Assets				
Cash and cash equivalents	-	510,364,191	-	510,364,191
Repurchase agreements	-	638,820,384	-	638,820,384
Placements with banks & financial institutions	-	476,510,425	-	476,510,425
Financial investments - Held for trading	751,264,686	-	-	751,264,686
Loans and advances	-	7,877,246,355	-	7,877,246,355
Lease rentals receivable	-	17,553,965,443	-	17,553,965,443
Hire purchase rentals receivable	-	62,388,835	-	62,388,835
Financial investments - Available for sale	-	-	381,521,952	381,521,952
Other financial assets	-	323,549,421	-	323,549,421
Total Financial Assets	751,264,686	27,442,845,054	381,521,952	28,575,631,691
			Other Financial Liabilities at amortised cost	Total
			Rs.	Rs.
Financial Liabilities				
Due to banks			11,042,104,540	11,042,104,540
Due to customers			13,256,951,431	13,256,951,431
Debt Instruments issued and other borrowed funds			1,645,799,918	1,645,799,918
Derivative financial liabilities			39,238,389	39,238,389
Other financial liabilities			456,262,778	456,262,778
Total Financial Liabilities			26,440,357,057	26,440,357,057

Alliance Finance Company PLC

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As at 31st March 2019

21.3 Group

As at 31st March 2019	Fair Value Through Profit or Loss	Amortised Cost	Fair value through Other Comprehensive Income	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	-	290,719,999	-	290,719,999
Repurchase agreements	-	210,053,286	-	210,053,286
Placements with banks & financial institutions	-	732,163,843	-	732,163,843
Financial assets recognised through profit or loss -measured at fair value	1,807,179,087	-	-	1,807,179,087
Loans and advances - at amortised cost	-	6,512,165,856	-	6,512,165,856
Lease rentals receivable - at amortised cost	-	18,842,072,665	-	18,842,072,665
Hire purchase rentals receivable - at amortised cost	-	12,349,092	-	12,349,092
Financial assets - fair value through other comprehensive income	-	-	579,250	579,250
Other financial assets	-	446,862,407	-	446,862,407
Total Financial Assets	1,807,179,087	27,046,387,148	579,250	28,854,145,485

	Other Financial Liabilities at Amortised Cost	Total
Financial Liabilities	Rs.	Rs.
Due to banks	12,589,469,582	12,589,469,582
Due to customers	12,493,682,808	12,493,682,808
Debt Instruments issued and other borrowed funds	819,062,771	819,062,771
Derivative financial liabilities	99,770,779	99,770,779
Other financial liabilities	781,537,579	781,537,579
Total Financial Liabilities	26,783,523,519	26,783,523,519

21.4 Group

As at 31st March 2018	Fair Value Through Profit or Loss	L & R at Amortised Cost	AFS at Fair Value	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.
Cash and cash equivalents	-	551,552,815	-	551,552,815
Repurchase agreements	-	638,820,384	-	638,820,384
Placements with banks & financial institutions	-	476,510,425	-	476,510,425
Financial investments - Held for trading	751,264,686	-	-	751,264,686
Loans and advances	-	7,877,373,054	-	7,877,373,054
Lease rentals receivable	-	17,553,965,443	-	17,553,965,443
Hire purchase rentals receivable	-	62,388,835	-	62,388,835
Financial investments - Available for sale	-	-	400,570,342	400,570,342
Other financial assets	-	349,638,381	-	349,638,381
Total Financial Assets	751,264,686	27,510,249,337	400,570,342	28,662,084,364

	Other Financial Liabilities at Amortised Cost	Total
Financial Liabilities	Rs.	Rs.
Due to banks	11,053,987,056	11,053,987,056
Due to customers	13,256,951,431	13,256,951,431
Debt Instruments issued and other borrowed funds	1,645,799,918	1,645,799,918
Derivative financial liabilities	39,238,389	39,238,389
Other financial liabilities	473,689,206	473,689,206
Total Financial Liabilities	26,469,666,000	26,469,666,000

Alliance Finance Company PLC

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As at 31st March 2019

22 CASH AND CASH EQUIVALENTS	Company		Group	
	2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.
Cash in hand	57,302,252	55,992,471	57,302,252	55,992,471
Balances with banks	224,282,484	454,371,720	233,417,747	495,560,344
	<u>281,584,736</u>	<u>510,364,191</u>	<u>290,719,999</u>	<u>551,552,815</u>

23 FINANCIAL INVESTMENTS - RECOGNISED THROUGH PROFIT OR LOSS

Government of Sri Lanka treasury bills	1,242,399,963	-	1,242,399,963	-
Government of Sri Lanka treasury bonds	400,476,681	-	400,476,681	-
Quoted equity securities (Note 24.1)	164,302,443	-	164,302,443	-
	<u>1,807,179,087</u>	<u>-</u>	<u>1,807,179,087</u>	<u>-</u>

24 FINANCIAL INVESTMENTS - HELD FOR TRADING

Government of Sri Lanka treasury bills	-	544,527,194	-	544,527,194
Quoted equity securities (Note 24.1)	-	206,737,492	-	206,737,492
	<u>-</u>	<u>751,264,686</u>	<u>-</u>	<u>751,264,686</u>

During the financial year 2018/19, Company has reclassified the treasury bonds which were classified under fair value through other comprehensive income category, to fair value through profit and loss category.

24.1 Quoted Equities

	2019 Company & Group			2018 Company & Group		
	No of Shares	Cost of Investment Rs.	Fair Value Rs.	No of Shares	Cost of Investment Rs.	Fair Value Rs.
<u>Banks, Finance & Insurance</u>						
Central Finance Co PLC	31,272	4,111,690	2,642,484	31,000	4,084,490	3,096,900
Ceylinco Insurance PLC - non voting	1,500	602,749	1,350,600	1,500	602,749	1,500,000
Commercial Bank - non voting	81	9,513	6,804	79	9,233	8,216
Hatton National Bank PLC	29,783	6,652,663	5,212,025	29,783	6,652,663	7,326,618
Merchant Bank of Sri Lanka PLC	385	718,750	4,120	385	718,750	4,928
National Development Bank PLC	16,369	2,289,695	1,541,960	15,522	2,199,950	2,064,426
People's Leasing Company PLC	529,800	12,043,920	7,099,320	529,800	12,043,920	8,317,860
People's Insurance PLC	299,883	6,893,033	5,667,789	-	-	-
Sanasa Development Bank	39,836	6,046,150	2,390,160	38,741	5,929,554	4,164,658
Seylan Bank PLC	140,964	15,267,359	8,852,539	137,598	15,030,690	11,651,799
Seylan Bank PLC non voting	52,773	3,772,483	1,974,060	52,773	3,681,714	2,876,129
Sinhaputhra Finance PLC -preference	50,000	125,000	335,000	50,000	125,000	375,000
Union Bank PLC	91,764	2,366,190	1,009,404	91,764	2,366,190	1,174,579
		<u>60,899,195</u>	<u>38,086,264</u>		<u>53,444,902</u>	<u>42,561,113</u>
<u>Land & Property</u>						
East West Properties PLC	2,149,885	32,440,675	37,622,988	2,149,885	32,440,675	41,707,769
		<u>32,440,675</u>	<u>37,622,988</u>		<u>32,440,675</u>	<u>41,707,769</u>
<u>Hotels & Travels</u>						
Amaya Leisure PLC	24	1,121	893	-	-	-
Browns Beach Hotels PLC	-	-	-	100,000	2,231,637	1,460,000
Ceylon Hotels Corporation PLC	53,331	2,139,964	490,645	53,331	2,139,964	799,965
Dolphin Hotels PLC	135,000	7,245,218	3,577,500	135,000	7,245,218	3,510,000
Hotel Sigiriya PLC	35,000	3,539,200	2,065,000	35,000	3,539,200	2,198,000
Jetwing Symphony PLC	750,000	8,250,000	7,275,000	750,000	8,250,000	10,125,000
Mahaweli Reach Hotels PLC	71,928	2,970,734	978,221	71,928	2,970,734	1,244,354
The Nuwara Eliya Hotels Company I	327	455,040	408,750	327	455,040	440,404
Serendib Hotels PLC -non voting	14,510	334,376	182,826	14,510	334,376	217,650
Sigiriya Village Hotels PLC	64,902	6,779,287	3,030,923	64,902	6,779,287	2,667,472
Tal Lanka Hotels PLC	17,800	997,893	167,320	17,800	997,893	300,820
Tangerine Beach Hotels PLC	7,516	630,813	305,150	7,516	630,813	340,475
		<u>33,343,646</u>	<u>18,482,228</u>		<u>35,574,162</u>	<u>23,304,140</u>

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24.1 Quoted equities (continued)

	2019 Company & Group			2018 Company & Group		
	No of Shares	Cost of Investment Rs.	Fair Value Rs.	No of Shares	Cost of Investment Rs.	Fair Value Rs.
<u>Manufacturing</u>						
ACL Cables PLC	10,000	635,515	323,000	10,000	635,515	410,000
Alumex PLC	-	-	-	250,000	4,550,400	4,225,000
Central Industries PLC	200,000	11,764,452	5,640,000	200,000	11,764,452	7,860,000
Lanka Aluminum Industries PLC	-	-	-	10,000	1,152,728	638,000
Regnis Lanka PLC	29,410	3,622,634	1,841,066	29,410	3,622,634	2,946,882
Tokyo Cement PLC - non voting	26,400	498,319	472,560	26,400	498,319	1,214,400
		<u>16,520,920</u>	<u>8,276,626</u>		<u>22,224,048</u>	<u>17,294,282</u>
<u>Trading</u>						
Singer Sri Lanka PLC	91,215	3,675,127	2,371,590	91,215	3,675,127	3,648,600
		<u>3,675,127</u>	<u>2,371,590</u>		<u>3,675,127</u>	<u>3,648,600</u>
<u>Investment Trusts</u>						
Lee Hedges PLC	284,800	17,621,544	19,936,000	284,800	17,621,544	23,923,200
Renuka Holdings PLC	674,529	23,042,074	9,038,689	674,529	23,042,074	13,490,580
		<u>40,663,618</u>	<u>28,974,689</u>		<u>40,663,618</u>	<u>37,413,780</u>
<u>Diversified Holdings</u>						
Aitken Spence PLC	354,551	36,661,167	14,536,591	354,551	36,661,167	18,082,101
Hayleys PLC	35,000	12,386,795	5,880,000	35,000	12,386,795	7,007,000
John Keells Holdings PLC	105	19,025	16,380	105	19,025	16,800
		<u>49,066,987</u>	<u>20,432,971</u>		<u>49,066,987</u>	<u>25,105,901</u>
<u>Plantations</u>						
Horana Plantations PLC	25,000	1,873,625	425,000	25,000	1,873,625	550,000
Kegalle Plantations PLC	37,100	8,266,496	2,040,500	37,100	8,266,496	2,444,890
		<u>10,140,121</u>	<u>2,465,500</u>		<u>10,140,121</u>	<u>2,994,890</u>
<u>Construction & Engineering</u>						
Access Engineering PLC	21,500	500,038	288,100	21,500	500,038	440,750
MTD Walkers PLC	-	-	-	45,000	2,803,621	922,500
Colombo Dockyard PLC	6,580	1,232,107	348,740	6,580	1,232,107	546,140
		<u>1,732,145</u>	<u>636,840</u>		<u>4,535,766</u>	<u>1,909,390</u>
<u>Power & Energy</u>						
Lanka IOC PLC	25,000	1,302,426	442,500	25,000	1,302,426	752,500
Mackwoods Energy PLC	100,000	1,399,997	-	100,000	1,399,997	210,000
		<u>2,702,423</u>	<u>442,500</u>		<u>2,702,423</u>	<u>962,500</u>
<u>Motors</u>						
C M Holding PLC	2,285	800,794	82,489	2,285	800,794	168,633
Diesel & Motor Engineering PLC	17,500	19,143,781	5,332,250	17,500	19,143,781	8,135,750
United Motors PLC	6,819	668,851	455,509	6,819	668,851	518,244
		<u>20,613,426</u>	<u>5,870,248</u>		<u>20,613,426</u>	<u>8,822,627</u>
<u>Chemicals & Pharmaceuticals</u>						
CIC Holdings PLC	25,000	1,320,665	640,000	25,000	1,320,665	1,012,500
		<u>1,320,665</u>	<u>640,000</u>		<u>1,320,665</u>	<u>1,012,500</u>
Total Investment		<u>273,118,948</u>	<u>164,302,443</u>		<u>276,401,921</u>	<u>206,737,492</u>

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25 LOANS AND ADVANCES

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Term loan receivable	3,109,714,400	3,456,171,138	3,109,714,400	3,456,171,138
Gold loans	1,315,671,113	1,183,219,907	1,315,671,113	1,183,219,907
Pledge loans	1,488,717,679	1,308,844,192	1,488,717,679	1,308,844,192
Micro finance loans	1,172,537,357	2,170,441,301	1,172,537,357	2,170,441,301
Loans against fixed deposits	137,312,571	135,206,079	137,312,571	135,206,079
Staff loans (Note 25.3)	3,100,447	4,151,358	3,238,767	4,278,058
	<u>7,227,053,567</u>	<u>8,258,033,975</u>	<u>7,227,191,887</u>	<u>8,258,160,674</u>
Less : Allowance for impairment losses (Note 25.1, 25.2 & 25.4)	<u>(715,026,031)</u>	<u>(380,787,620)</u>	<u>(715,026,031)</u>	<u>(380,787,620)</u>
Net loans and advances	<u>6,512,027,536</u>	<u>7,877,246,355</u>	<u>6,512,165,856</u>	<u>7,877,373,054</u>

The amounts for the year ended 31st March 2019 have been prepared in accordance with Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments), whereas prior period amounts have not been restated.

25.1 Allowances for Impairment Losses

As at 01st April	380,787,620	115,293,687	380,787,620	115,293,687
Impact on adoption of SLFRS 9 as at 1st April 2018	(35,493,437)	-	(35,493,437)	-
Charge / (Reversal) for the year	326,866,464	265,493,933	326,866,464	265,493,933
Interest income accrued on impaired loans and receivables	42,865,385	-	42,865,385	-
As at 31 st March	<u>715,026,031</u>	<u>380,787,620</u>	<u>715,026,031</u>	<u>380,787,620</u>

25.2 Loan Category wise Allowances for Impairment Losses

Term loan receivable	158,350,817	105,966,283	158,350,817	105,966,283
Gold loans	4,789,329	27,968,381	4,789,329	27,968,381
Pledge loans	276,960,762	117,741,501	276,960,762	117,741,502
Micro finance loans	274,925,123	129,111,455	274,925,123	129,111,455
	<u>715,026,031</u>	<u>380,787,620</u>	<u>715,026,031</u>	<u>380,787,621</u>

25.3 Staff Loans Include Loans Granted to Company Officers, the Movement of Which is as Follows :

As at the beginning of the year	4,151,358	8,385,380	4,278,058	8,501,843
Loans granted during the year	20,314,385	20,171,554	20,722,385	20,171,554
Repayments during the year	(20,850,721)	(24,405,576)	(21,247,101)	(24,395,339)
Provision for staff loan	(514,575)	-	(514,575)	-
As at the end of the year	<u>3,100,447</u>	<u>4,151,358</u>	<u>3,238,767</u>	<u>4,278,058</u>

25.4 Analysis of the Impairment for Expected Credit Losses, Based on the Staging of the Underlying Loans is Given Below:

	2018-2019				2018
	IFRS 09				LKAS 39
	Stage 1	Stage 2	Stage 3	Total	
	Rs.	Rs.	Rs.	Rs.	Rs.
Gross loans and advances 31st March 2019	7,057,203,163	415,669,268	785,161,543	8,258,033,974	8,258,033,975
Less: Provision for collective impairment	(74,654,290)	(52,992,103)	(140,518,394)	(268,164,787)	(315,154,883)
Less: Provision for individual impairment	-	-	(77,129,395)	(77,129,395)	(65,632,737)
	<u>6,982,548,873</u>	<u>362,677,165</u>	<u>567,513,754</u>	<u>7,912,739,792</u>	<u>7,877,246,355</u>
Gross loans and advances 31st March 2018	5,591,109,830	475,627,833	1,160,315,904	7,227,053,567	n/a
Less: Provision for collective impairment	(115,693,903)	(86,194,038)	(289,096,761)	(490,984,702)	n/a
Less: Provision for individual impairment	-	-	(224,041,329)	(224,041,329)	n/a
	<u>5,475,415,927</u>	<u>389,433,795</u>	<u>647,177,814</u>	<u>6,512,027,536</u>	<u>-</u>

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26 LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Gross rentals receivables				
- Lease rentals	25,664,367,129	23,546,676,458	25,664,367,129	23,546,676,458
- Amounts receivable from hirers	1,265,525,727	847,617,275	1,265,525,727	847,617,275
	26,929,892,856	24,394,293,733	26,929,892,856	24,394,293,733
Less: Unearned income	(7,552,650,617)	(6,486,875,230)	(7,552,650,617)	(6,486,875,230)
Net rentals receivables	19,377,242,239	17,907,418,503	19,377,242,239	17,907,418,503
Less : Allowance for impairment losses (Note 26.1 & 26.3)	(535,169,574)	(353,453,060)	(535,169,574)	(353,453,060)
Total net rentals receivable (Note 26.2 & 26.3)	18,842,072,665	17,553,965,443	18,842,072,665	17,553,965,443

The amounts for the year ended 31st March 2019 have been prepared in accordance with Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments), whereas prior period amounts have not been restated.

26.1 Allowances for Impairment Losses

As at 01st April	353,453,060	195,365,194	353,453,060	195,365,194
Impact on adoption of SLFRS 9 as at 1st April 2018	37,507,140	-	37,507,140	-
Charge / (Reversal) for the year	134,982,865	158,087,866	134,982,865	158,087,866
Interest income accrued on impaired loans and receivables	9,226,509	-	9,226,509	-
As at 31st March	535,169,574	353,453,060	535,169,574	353,453,060

26.2 Analysis of the impairment for expected credit losses, based on the staging of the underlying leases is given below:

	2018 -2019				2018
	IFRS 09				LKAS 39
	Stage 1	Stage 2	Stage 3	Total	
	Rs.	Rs.	Rs.	Rs.	Rs.
Gross lease and receivables 31st March 2018	16,721,191,030	688,255,743	497,971,730	17,907,418,503	17,907,418,503
Less: Provision for collective impairment	(154,052,232)	(54,095,401)	(56,026,697)	(264,174,330)	(353,453,060)
Less: Provision for individual impairment	-	-	(126,785,869)	(126,785,869)	-
	16,567,138,798	634,160,342	315,159,164	17,516,458,304	17,553,965,443
Gross lease and receivables 31st March 2019	16,420,209,600	1,982,777,416	974,255,223	19,377,242,239	n/a
Less: Provision for collective impairment	(106,951,439)	(122,822,988)	(158,384,452)	(388,158,879)	n/a
Less: Provision for individual impairment	-	-	(147,010,695)	(147,010,695)	n/a
	16,313,258,161	1,859,954,428	668,860,076	18,842,072,665	n/a

26.3 Company & Group

As at 31st March 2019	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
Gross rentals receivables				
- Lease rentals	1,316,061,360	24,344,945,288	3,360,481	25,664,367,129
- Amounts receivable from hirers	322,966,856	942,603,770	(44,899)	1,265,525,727
	1,639,028,216	25,287,549,058	3,315,582	26,929,892,856
Less: Unearned income	(132,813,295)	(7,418,452,038)	(1,385,284)	(7,552,650,617)
Net rentals receivables	1,506,214,921	17,869,097,020	1,930,298	19,377,242,239
Less : Allowance for impairment losses				(535,169,574)
Total net rentals receivable				18,842,072,665
Company & Group				
As at 31st March 2018	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
Gross rentals receivables				
- Lease rentals	1,067,933,896	22,478,742,562	-	23,546,676,458
- Amounts receivable from hirers	250,218,734	597,398,541	-	847,617,275
	1,318,152,630	23,076,141,103	-	24,394,293,733
Less: Unearned income	(100,731,826)	(6,386,143,404)	-	(6,486,875,230)
Net rentals receivables	1,217,420,804	16,689,997,699	-	17,907,418,503
Less : Allowance for impairment losses				(353,453,060)
Total net rentals receivable				17,553,965,443

Lease rental receivables include receivables amounting to Rs. 11,871,666,996/- that have been assigned under a securitization funding arrangement.

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2019

27 HIREPURCHASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Gross Rentals Receivables	4,972,689	38,124,722	4,972,689	38,124,722
- Amounts receivable from hirers	7,928,525	32,627,925	7,928,525	32,627,925
	12,901,214	70,752,647	12,901,214	70,752,647
Less: Unearned income	(217,362)	(3,818,426)	(217,362)	(3,818,426)
Net rentals receivables	12,683,852	66,934,221	12,683,852	66,934,221
Less : Allowance for impairment losses (Note 27.1)	(334,760)	(4,545,386)	(334,760)	(4,545,386)
Total net rentals receivable (Note 27.2 & 27.3)	12,349,092	62,388,835	12,349,092	62,388,835

The amounts for the year ended 31st March 2019 have been prepared in accordance with Sri Lanka Accounting Standard - SLFRS 9 (Financial Instruments), whereas prior period amounts have not been restated.

27.1 Allowance for Impairment Losses

As at 01st April	4,545,386	12,523,252	4,545,386	12,523,252
Impact on adoption of SLFRS 9 as at 1st April 2018	25,856,747	-	25,856,747	-
Charge / (Reversal) for the year	(24,993,983)	(7,977,866)	(24,993,983)	(7,977,866)
Interest income accrued on impaired loans and receivables	(5,073,390)	-	(5,073,390)	-
As at 31 st March	334,760	4,545,386	334,760	4,545,386

27.2 Analysis of the impairment for expected credit losses, based on the staging of the underlying leases is given below:

	2018-2019				2018
	IFRS 09				LKAS 39
	Stage 1	Stage 2	Stage 3	Total	
	Rs.	Rs.	Rs.	Rs.	Rs.
Gross lease rental receivable	28,958,112	8,068,153	29,907,956	66,934,221	66,934,221
Less: Provision for collective impairment	(608,851)	(587,456)	(18,862)	(1,215,169)	(4,545,385)
Less: Provision for individual impairment	-	-	(29,186,964)	(29,186,964)	-
	28,349,261	7,480,697	702,130	36,532,088	62,388,835
Gross lease rental receivable	3,470,016	1,231,640	7,982,196	12,683,852	n/a
Less: Provision for collective impairment	(103,833)	(74,135)	4,737,040	4,559,072	n/a
Less: Provision for individual impairment	-	-	(4,893,832)	(4,893,832)	n/a
	3,366,183	1,157,505	7,825,404	12,349,092	n/a

27.3 Company & Group

	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
As at 31st March 2019				
Gross rentals receivables				
- Hire purchase rentals	4,972,689	-	-	4,972,689
- Amounts receivable from hirers	7,928,525	-	-	7,928,525
	12,901,214	-	-	12,901,214
Less: Unearned income	(217,362)	-	-	(217,362)
Net rentals receivables	12,683,852	-	-	12,683,852
Less : Allowance for impairment losses				(334,760)
Total net rentals receivable				12,349,092
Company & Group				
	Within one year	1 - 5 years	Over 5 years	Total
	Rs.	Rs.	Rs.	Rs.
As at 31st March 2018				
Gross rentals receivables				
- Hire purchase rentals	17,769,296	20,355,426	-	38,124,722
- Amounts receivable from hirers	31,868,069	759,855	-	32,627,925
	49,637,365	21,115,281	-	70,752,647
Less: Unearned income	(978,205)	(2,840,221)	-	(3,818,426)
Net rentals receivables	48,659,160	18,275,060	-	66,934,221
Less : Allowance for impairment losses				(4,545,386)
Total net rentals receivable				62,388,835

Hire purchase receivables include receivables amounting to Rs. 2,272,387 that have been assigned under a securitization funding arrangement.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2019

28 FINANCIAL INVESTMENTS - FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Unquoted equities (Note 29.1)	579,250	-	579,250	-
	579,250	-	579,250	-

29 FINANCIAL INVESTMENTS - AVAILABLE FOR SALE

Government of Sri Lanka treasury bonds	-	380,942,702	-	380,942,702
Unquoted equities (Note 29.1)	-	579,250	-	579,250
	-	381,521,952	-	381,521,952

During the financial year 2018/19, Company has reclassified the treasury bonds which were classified under fair value through other comprehensive income category, to fair value through profit and loss category.

29.1 Unquoted equities

	2019		2018	
Company & Group	Cost of Investment	Fair Value	Cost of Investment	Fair Value
	Rs.	Rs.	Rs.	Rs.
Comp trust Equity Fund	200,500	200,500	200,500	200,500
Commercial Fund Management	1,500	1,500	1,500	1,500
Shaw Wallace Ceylon Ltd	11,544	11,544	11,544	11,544
Alliance Agencies Ltd	75,300	75,300	75,300	75,300
Ceylon Japan Industries Ltd	1	1	1	1
Orient Food Processing (Lanka) Ltd	1	1	1	1
Trigem Knitwear Ltd	1	1	1	1
Credit Information Bureau of Sri Lanka	25,400	25,400	25,400	25,400
Finance House Consortium (Pvt) Ltd	200,000	200,000	200,000	200,000
Orient Hotels Ltd	1	1	1	1
Ranwelli Holiday Resorts Ltd	65,001	65,001	65,001	65,001
Nation Lanka Equities (Pvt) Ltd	8,785,740	1	8,785,740	1
Total	9,364,989	579,250	9,364,989	579,250

Directors of the Company assessed that fair value of the unquoted share investments held by the Company as at 31st March 2019 and concluded that the carrying value as at that date is a reasonable approximation of fair value.

30 OTHER TRADING STOCKS

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Real estates stock	21,376,500	52,238,000	21,376,500	52,238,000
Vehicles stock	374,184,579	88,548,132	374,184,579	88,548,132
Other stock	6,094,747	-	6,094,747	-
	401,655,826	140,786,132	401,655,826	140,786,132

31 OTHER FINANCIAL ASSETS

Collaboration debtors	41,239,434	24,462,573	41,239,434	24,462,573
Differed expenses	221,002,704	171,765,417	221,002,704	171,765,417
Other receivables	143,608,687	127,321,431	184,620,269	153,410,391
	405,850,825	323,549,421	446,862,407	349,638,381

32 OTHER NON FINANCIAL ASSETS

Pre-paid expenses	213,948,205	111,082,262	213,948,205	111,529,770
Stationery stock account	3,757,166	3,128,438	3,757,157	3,128,438
VAT payables/recoverable	-	1,327,783	-	1,327,783
	217,705,371	115,538,483	217,705,362	115,985,991

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2019

33 INVESTMENT IN ASSOCIATES

Company

	%	Carrying Value	Share of	Change of	Carrying Value
Equity Method	Holding	01.04.2018	profit/(loss)	Interest	31.03.2019
Company		Rs.	Rs.	Rs.	Rs.
Macbertan (Pvt) Ltd	23.36%	57,362,904	(8,893,804)	-	48,469,100
		57,362,904	(8,893,804)	-	48,469,100

Group

	%	Carrying Value	Share of	New	Carrying Value
	Holding	01.04.2018	profit/(loss)	Investment	31.03.2019
		Rs.	Rs.	Rs.	Rs.
Macbertan (Pvt) Ltd	23.36%	76,411,294	(8,893,804)	17,214,060	84,731,550
		76,411,294	(8,893,804)	17,214,060	84,731,550

Alliance Finance Company PLC's shareholding of Macbertan (Pvt) Ltd has changed from 19.51% to 11.80% during the year 2018, due to issue of new shares to other investors. However Company remains significant control over the associate and from 2018, the Company started to identify its holding based on Group effective rate, which is 23.36%.

Alfinco Insurance (Pvt) Ltd, invested in equity shares of Macbertan (Pvt) Ltd. which was shown in unquoted equity in year 2018 and the above has been reclassified to investment in associate in 2019.

		2019	2018
		Rs.	Rs.
b) Cost Method	No. of Ordinary Shares	Cost of Investment	Cost of Investment
		Rs.	Rs.
Macbertan (Pvt) Ltd	1,720,000	17,200,000	17,200,000
		17,200,000	17,200,000

c) Summary Financial information of the Investment in Associates

	2019	2018
	Rs.	Rs.
Total assets	749,459,558	709,600,402
Total liabilities	435,896,044	415,567,396
Net assets	313,563,514	294,033,006
Revenue	771,812,001	891,159,587
Profits /(loss)	(38,069,502)	(3,094,359)

34 INVESTMENT IN SUBSIDIARIES

	Principal Activity	% Holding	Cost of Investment
			Rs.
Alfinco Insurance Brokers (Pvt) Ltd	Insurance Brokering	63.94%	16,924,038

Alfinco Insurance Brokers (Pvt) Ltd not quoted in Colombo Stock Exchange.

Summarized Financial Information of Subsidiary

As at 31st March

Alfinco Insurance Brokers (Pvt) Ltd

	2019	2018
	Rs.	Rs.
Net operating income	91,798,090	84,721,514
Less: operating expenses	(54,007,026)	(60,643,465)
Profit before taxes	37,791,064	24,078,049
Less: Taxes	(10,273,414)	(6,922,819)
Profit after tax	27,517,650	17,155,230
Assets	126,450,612	130,463,401
Liabilities	35,238,581	70,207,168
Equity	91,212,031	60,256,233

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2019

35 INVESTMENT PROPERTY

Company & Group	Balance As at 01.04.2018 Rs.	Transfers Rs.	Revaluation/ writeoff Rs.	Balance As at 31.03.2019 Rs.
Gross Carrying Amounts				
Land & buliding	-	484,823,925	64,176,075	549,000,000
	-	484,823,925	64,176,075	549,000,000

Investment property comprises of lands and building which have previously recognised under property plant and equipment. From 31st March 2019 onwards, the occupation of these lands by the company become insignificant and management expected to hold this property either to earn rental income or for capital appreciation for the future period. Further, the carrying value of the building amounting to Rs.17,233,425/- has derecognised, where management has decided to demolish such building for future development purposes.

35.1 Revaluation of Investment property

The Company revalued its investment properties as at 31st March 2019, adopting an open market comparable basis of valuation by Mr. M.T.H Farook being independent, professional valuer with recent experience in the location category of the property being valued.

Details of investment properties Stated at Valuation

Location	Date of valuation	Net book Value at valuation Rs.	Revaluation amount Rs.	Revaluation Gain/writeoff Recognised in P & L Rs.
No.199/11, Rajagiriya Road, Rajagiriya	02.04.2019	429,733,425	480,000,000	50,266,575
No.199/10, Rajagiriya Road, Rajagiriya	02.04.2019	55,090,500	69,000,000	13,909,500
		484,823,925	549,000,000	64,176,075

35.2 Details of investment properties as at 31st March 2019

Location	Land extent (perches)	Value of investment property Rs.
No.199/11, Rajagiriya Road, Rajagiriya	160	480,000,000
No.199/10, Rajagiriya Road, Rajagiriya	23	69,000,000
		549,000,000

Fair Value

The following table shows the valuation technique used in measuring the fair value of investment property, as well as the significant unobservable inputs used:

Valuation Technique	Significant Unobservable Inputs	Interrelationship between Key Unobservable Inputs and Fair Value Measurements
Land value is based on the market prices of each land respectively.	Market value of Land (Price per Perch)	The estimated fair value would increase/ (decrease) 1. if - Market value per perch was higher (Lower)

35.3 Title restriction on Investment properties

There were no restriction on the title of land and building categories as investment properties as at 31st March 2019.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2019

36 PROPERTY, PLANT AND EQUIPMENT

36.1 Company

	Balance As at 01.04.2018 Rs.	Additions Rs.	Disposals Rs.	Transfers Rs.	Balance As at 31.03.2019 Rs.
Gross Carrying Amour					
Cost / Valuation					
Freehold Assets					
Land	1,621,350,563	25,769,902	-	(467,590,500)	1,179,529,965
Buildings	140,658,356	65,676,955	-	(19,148,250)	187,187,061
Furniture & fittings	69,066,190	8,276,069	(303,643)	-	77,038,616
Equipment	194,583,711	47,621,138	(4,292,350)	-	237,912,499
Motor vehicles & access	346,778,536	35,374,917	(12,028,215)	-	370,125,238
Computers	111,853,502	16,245,515	(298,513)	-	127,800,504
Antiques	25,580	-	-	-	25,580
	<u>2,484,316,438</u>	<u>198,964,496</u>	<u>(16,922,721)</u>	<u>(486,738,750)</u>	<u>2,179,619,463</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	11,135,024	7,988,571	-	(1,914,825)	17,208,770
Furniture & fittings	19,229,810	8,733,588	(95,943)	-	27,867,455
Equipment	71,984,398	40,802,852	(2,187,026)	-	110,600,224
Motor vehicles & access	145,393,124	32,598,089	(7,393,808)	-	170,597,405
Computers	68,846,183	38,349,219	(253,210)	-	106,942,192
Antiques	-	-	-	-	-
	<u>316,588,539</u>	<u>128,472,319</u>	<u>(9,929,987)</u>	<u>(1,914,825)</u>	<u>433,216,046</u>
Net book value					
Land	1,621,350,563				1,179,529,965
Buildings	129,523,332				169,978,291
Furniture & fittings	49,836,380				49,171,161
Equipment	122,599,313				127,312,275
Motor vehicles & access	201,385,412				199,527,833
Computers	43,007,319				20,858,312
Antiques	25,580				25,580
Total Value of Depreci	<u>2,167,727,899</u>				<u>1,746,403,417</u>

From 31st March 2019 onwards, the Company has decided to hold its land and building situated at No.199/11 and No. 199/10, Obesekarapura Rajagiriya for renting out on short term basis or for capital appreciation purpose. Such lands and building have been reclassified as investment property in the statement of financial position as at 31st March 2019. Accordingly the carrying values of lands and buildings amounting to Rs. 467,590,500/- and Rs. 17,233,425/- transfer to the investment property.

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2019

36 PROPERTY, PLANT AND EQUIPMENT (Continued)

36.2 Group

	Balance As at 01.04.2018 Rs.	Additions Rs.	Disposals Rs.	Transfers Rs.	Balance As at 31.03.2019 Rs.
Gross Carrying Amounts					
Cost / Valuation					
Freehold Assets					
Land	1,621,350,563	25,769,902	-	(467,590,500)	1,179,529,965
Buildings	140,658,356	65,676,955	-	(19,148,250)	187,187,061
Furniture & fittings	70,055,344	8,276,069	(303,643)	-	78,027,770
Equipment	196,980,784	47,621,138	(4,292,350)	-	240,309,572
Motor vehicles & accessories	346,778,536	35,374,917	(12,028,215)	-	370,125,238
Computers	112,893,632	16,335,515	(298,513)	-	128,930,634
Antiques	25,580	-	-	-	25,580
	<u>2,488,742,795</u>	<u>199,054,496</u>	<u>(16,922,721)</u>	<u>(486,738,750)</u>	<u>2,184,135,820</u>
Depreciation					
Freehold Assets					
Land	-	-	-	-	-
Buildings	11,135,024	7,988,571	-	(1,914,825)	17,208,770
Furniture & fittings	20,161,513	8,763,410	(95,943)	-	28,828,980
Equipment	74,289,183	40,851,387	(2,187,026)	-	112,953,544
Motor Vehicles & accessories	145,393,124	32,598,088	(7,393,808)	-	170,597,404
Computers	69,742,253	38,397,869	(253,210)	-	107,886,912
Antiques	-	-	-	-	-
	<u>320,721,098</u>	<u>128,599,325</u>	<u>(9,929,987)</u>	<u>(1,914,825)</u>	<u>437,475,610</u>
Net book value					
Land	1,621,350,563				1,179,529,965
Buildings	129,523,332				169,978,291
Furniture & fittings	49,893,831				49,198,790
Equipment	122,691,601				127,356,028
Motor vehicles & accessories	201,385,412				199,527,834
Computers	43,151,379				21,043,722
Antiques	25,580				25,580
Total Value of Deprecial	<u>2,168,021,698</u>				<u>1,746,660,210</u>

From 31st March 2019 onwards, The Company has decided to hold its land and building situated at No.199/11 and No. 199/10, Obesekarapura Rajagiriya for renting out on short term basis or for capital appreciation purpose. Such lands and building have been reclassified as investment property in the statement of financial position as at 31st March 2019. Accordingly the carrying values of lands and buildings amounting to Rs. 467,590,500/- and Rs. 17,233,425/- transfer to the investment property.

Alliance Finance Company PLC
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36.3 Revaluation of Fixed Assets

Freehold land and buildings of the Group are revalued by independent professional valuers once in every three years or more frequently to ensure that the carrying amount does not differ materially from that which would be determined using the fair value at the end of the reporting period. The Group revalued its entire class of freehold land and buildings as of 31st March 2017.

The Company revalued its land and buildings, adopting an open market comparable basis of valuation by Ms. W.A.T.I.P.Jayathilake & Company and Ms. K.T.Nihal & Company being independent, professional valuers with recent experience in the location category of the property being valued.

36.3.1 Details of Company's Land Stated at Valuation

Location	Date of valuation	Net book Value at valuation	Revaluation amount	Revaluation Gain/(Loss) Recognised in OCI
		Rs.	Rs.	Rs.
No.84, Ward Place, Colombo 7	15.02.2017	275,000,000	708,500,000	433,500,000
No.98, Ward Place, Colombo 7	01.04.2017	83,105,564	224,770,000	141,664,436
		358,105,564	933,270,000	575,164,436

36.3.2 Details of Company's Buildings Stated at Valuation

Location	Date of valuation	Net book Value at valuation	Revaluation amount	Revaluation Gain/(Loss) Recognised in OCI
		Rs.	Rs.	Rs.
No.84, Ward Place, Colombo 7	15.02.2017	18,132,452	8,187,200	(9,945,252)
No.98, Ward Place, Colombo 7	01.04.2017	13,835,963	31,472,700	17,636,737
		31,968,415	39,659,900	7,691,485

36.3.3 Valuation Technique and Significant Unobservable Inputs

The following table shows the valuation technique used in measuring the fair value of property, as well as the significant unobservable inputs used:

Valuation Technique	Significant Unobservable Inputs	Interrelationship between Key Unobservable Inputs and Fair Value Measurements
Land value is based on the market prices of each land respectively.	Market value of Land (Price per Perch)	The estimated fair value would increase/ (decrease) if - Market value per perch was higher (Lower)

36.3.4 Carrying value at cost

The carrying amount of Company's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation would be as follows;

As at 31st March 2019	Cost Rs.	Accumulated Depreciation Rs.	Net Book Value Rs.
Freehold lands	91,940,792	-	91,940,792
Freehold buildings	30,806,880	18,756,372	12,050,508
	122,747,672	18,756,372	103,991,300

36.3.5 Carrying value at revaluation

The carrying amount of Company's revalued freehold land and buildings, if they were carried at cost less accumulated depreciation, would be as follows:

As at 31st March 2019	Revalued Amount Rs.	Accumulated Depreciation Rs.	Net Book Value Rs.
Land	933,270,000	-	933,270,000
Building	39,659,900	3,965,990	35,693,910
	972,929,900	3,965,990	968,963,910

Alliance Finance Company PLC
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As at 31st March 2019

36.4 Details of Freehold Land and Buildings as at 31st March 2019

Location	Land extent (Perches)	Cost or Revaluation of Land Rs.	Buildings (Square Feet)	Cost or Revaluation of Building Rs.	Total Value Rs.
No 84 Ward Place Colombo - 7	37.33	708,500,000	6,967	8,187,200	716,687,200
No.98, Ward Place, Colombo - 7	19.41	224,770,000	8,460	31,472,700	256,242,700
No.152, Batapadura Watta Road, Siyambalagoda	28.00	732,470	-	-	732,470
No.720, Kotte Road, Rajagiriya	33.85	130,253,800	-	-	130,253,800
No.722, Kotte Road, Rajagiriya	23.26	89,503,793	16,660	142,285,564	231,789,357
No.29, Kotugoda Road, Seeduwa	80.00	25,769,902	2,712	5,241,598	31,011,500
Freehold Land and Building		1,179,529,965		187,187,062	1,366,717,027

36.5 During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs.198,964,496 /- (2017/18 - Rs. 193,621,051/-) and payment made by cash.

36.6 The cost of the fully depreciated / amortised property, plant and equipment and intangible assets of the Company which are still in use as at the end of the reporting date is as follows:

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
Motor vehicles	53,148,354	23,308,551	53,148,354	26,661,039
Office Equipment	-	-	2,275,574	-
Furniture & Fittings	-	-	2,800,459	-
Computers	84,070,450	-	84,964,631	-
Software - Intangible assets	6,808,933	6,808,933	8,361,933	8,361,933
	144,027,737	30,117,484	151,550,951	35,022,972

36.7 Title restriction on Property Plant and Equipment

There were no restriction on the title of property, plant and equipment as at 31st March 2019.

36.8 Property Plant and Equipment pledged as security for liabilities

Property	Mortgaged with	Value
No.722, Kotte Road, Rajagiriya	Public Bank	250 mn

36.9 Measurement of fair values

The fair value measurement for freehold lands have been categorized as a Level 3 fair value based on the input to the valuation technique used.

Alliance Finance Company PLC
NOTES TO THE FINANCIAL STATEMENTS
As at 31st March 2019

37 INTANGIBLE ASSETS

37.1 Company

	Balance As at 31.03.2018 Rs.	Additions Rs.	Balance As at 31.03.2019 Rs.
Gross Carrying Amounts of Freehold and Leasehold Assets			
Cost / Valuation			
Computer software - Freehold	61,695,537	8,348,480	70,044,017
Computer software - Leasehold	26,251,500	-	26,251,500
	87,947,037	8,348,480	96,295,517
Amortization			
Computer software - Freehold	26,387,395	5,946,702	32,334,097
Computer software - Leasehold	4,812,775	2,625,151	7,437,926
	31,200,170	8,571,853	39,772,023
Net book value			
Computer software - Freehold	35,308,142		37,709,920
Computer software - Leasehold	21,438,725		18,813,575
	56,746,867		56,523,495

37.2 Group

	Balance As at 31.03.2018 Rs.	Additions Rs.	Balance As at 31.03.2019 Rs.
Gross Carrying Amounts of Freehold and Leasehold Assets			
Cost / Valuation			
Computer software - Freehold	63,248,537	8,348,480	71,597,017
Computer software - Leasehold	26,251,500	-	26,251,500
	89,500,037	8,348,480	97,848,517
Amortization			
Computer software - Freehold	27,940,395	5,946,702	33,887,097
Computer software - Leasehold	4,812,775	2,625,151	7,437,925
	32,753,170	8,571,853	41,325,022
Net book value			
Computer software - Freehold	35,308,142		37,709,920
Computer software - Leasehold	21,438,725		18,813,575
	56,746,867		56,523,495

Alliance Finance Company PLC

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As at 31st March 2019

38	DUE TO BANKS	Company		Group				
		2019 Rs.	2018 Rs.	2019 Rs.	2018 Rs.			
	Bank overdrafts	147,877,806	232,447,868	147,877,806	244,330,384			
	Securitized borrowings and other facilities (Note 38.1)	12,439,674,565	10,800,496,933	12,439,674,565	10,800,496,935			
	Finance lease (38.2)	1,917,211	9,159,739	1,917,211	9,159,739			
		12,589,469,582	11,042,104,540	12,589,469,582	11,053,987,058			
38.1	Securitized Borrowings							
	Company and Group	As at 31.03.2018 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Rs.	As at 31.03.2019 Rs.	Period	Security
	Deutsche Bank Trust - 28	400,988,445	-	18,728,015	387,854,205	31,862,255	48 Months	Lease receivables
	Deutsche Bank Trust - 29	27,176,867	-	167,958	27,344,825	-	36 Months	Lease receivables
	Deutsche Bank Trust - 30	716,582,396	-	52,124,172	407,095,536	361,611,032	48 Months	Lease receivables
	BOC Trust 01	127,285,206	-	4,381,024	131,666,230	-	30 Months	Lease receivables
		1,272,032,914	-	75,401,169	953,960,796	393,473,287		
	Direct Bank Borrowings							
	Term Loans							
	BOC	358,972,222	412,300,000	42,345,257	294,643,174	518,974,305	24 Months	Lease receivables
	Cargill's Bank PLC	139,120,375	-	16,760,291	63,982,511	91,898,155	60 Months	Lease receivables
	Commercial Bank of Ceylon PLC	-	1,050,000,000	6,274,143	606,274,143	450,000,000	36 Months	Land & buildings
	DFCC Bank	220,833,333	250,000,000	52,371,137	151,390,750	371,813,720	96 Months	Lease receivables
	DFCC Bank - PCI Loan	85,151,448	-	7,580,861	23,090,767	69,641,542	180 Months	Nil
	Hatton National Bank	54,050,000	-	3,282,069	53,322,069	4,010,000	48 Months	Lease receivables
	Lanka Puthra Development Bank	16,666,667	-	170,811	16,837,478	-	48 Months	Lease receivables
	NDB Bank PLC	1,103,094,110	2,500,000,000	163,674,029	2,569,255,639	1,197,512,500	03 Months	Lease receivables
	Public Bank	104,198,324	-	12,483,322	46,768,751	69,912,895	60 Months	Lease receivables
	Public Bank	226,128,446	-	21,521,075	39,506,273	208,143,248	60 Months	Land & buildings
	Nations Trust Bank PLC	250,000,000	-	31,858,247	31,858,247	250,000,000	6 Months	Lease receivables
	Reverse repo on treasury bills	141,353,580	270,000,000	243,202,306	471,271,514	183,284,372	7 Days	Treasury bonds
	Sampath Bank PLC	1,439,499,999	900,000,000	157,225,152	1,058,425,151	1,438,300,000	36 Months	Lease receivables
	Seylan Bank PLC	1,084,885,265	-	101,069,372	731,576,618	454,378,019	48 Months	Lease receivables
	Union Bank of Colombo PLC	300,000,000	1,700,000,000	27,603,684	1,727,603,684	300,000,000	03 Months	Lease receivables
	Union Bank of Colombo PLC	770,833,322	-	63,110,669	613,110,653	220,833,338	60 Months	Micro Finance receivables
	Union Bank of Colombo PLC	-	2,200,000,000	37,718,479	1,637,718,479	600,000,000	12 Months	Lease / HP receivables
	Syndication loan	120,304,110	-	4,989,041	125,293,151	-	48 Months	Lease receivables
		6,415,091,201	9,282,300,000	993,239,945	10,261,929,052	6,428,702,094		
	Foreign Currency Borrowings							
	Tridos Investment Management	936,016,069	166,290,000	53,104,524	1,155,410,593	-	36 Months	Micro Finance receivables
	Symbiotic Index	770,813,500	-	81,781,673	81,790,500	770,804,673	36 Months	Nil
	Symbiotic - USD	783,543,249	77,000,000	44,978,960	14,471,993	891,050,216	36 Months	Nil
	Tridos Investment Management	623,000,000	110,953,920	69,174,156	69,166,603	733,961,473	72 Months	Nil
	IFC	-	791,100,000	73,476,655	45,522,682	819,053,973	60 Months	Lease receivables
	FMO	-	1,810,000,000	33,292,636	-	1,843,292,636	60 Months	Lease receivables
	DWM	-	548,482,550	38,224,481	27,370,818	559,336,213	36 Months	Lease receivables
		3,113,372,818	3,503,826,470	394,033,085	1,393,733,189	5,617,499,184		
		10,800,496,933	12,786,126,470	1,462,674,199	12,609,623,037	12,439,674,565		

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2019

38 DUE TO BANKS (Contd.)

38.2 Finance Lease

Company and Group

	As at 31.03.2018 Rs.	Repayments Rs.	As at 31.03.2019 Rs.
Finance leases	9,159,739	(7,242,528)	1,917,211
	9,159,739	(7,242,528)	1,917,211

	2019 Rs.	2018 Rs.
37.2.1 Gross liability	1,941,671	9,708,355
Less: Finance charges allocated for future periods	(24,459)	(548,616)
Net liability	1,917,212	9,159,739

Repayable with in one year

Gross liability	1,941,671	7,766,684
Less: Finance charges allocated for future periods	(24,459)	(524,156)
Net liability	1,917,212	7,242,528

Repayable with in one to five years

Gross liability	-	1,941,671
Less: Finance charges allocated for future periods	-	(24,459)
Net liability	-	1,917,212

39 DUE TO CUSTOMERS

	Company 2019 Rs.	2018 Rs.	Group 2019 Rs.	2018 Rs.
Fixed deposits	11,954,633,010	12,668,973,745	11,954,633,010	12,668,973,745
Certificates of deposit	-	100,000	-	100,000
Savings deposits	539,049,798	587,877,686	539,049,798	587,877,686
	12,493,682,808	13,256,951,431	12,493,682,808	13,256,951,431

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2019

40 DEBT INSTRUMENTS ISSUED AND OTHER BORROWED FUNDS

	Company 2019 Rs.	2018 Rs.	Group 2019 Rs.	2018 Rs.
Unsecured Debentures				
Face value	800,000,000	1,480,170,488	800,000,000	1,480,170,488
Accrued interest	19,062,771	165,629,430	19,062,771	165,629,430
	<u>819,062,771</u>	<u>1,645,799,918</u>	<u>819,062,771</u>	<u>1,645,799,918</u>

40.1 Quoted - Debentures

Company and group

- a) The debentures include 12,000,000 Unsecured Redeemable Listed Rates Subordinated Debentures of Rs. 100/- each issued by the Company in September 2013. The Debentures were quoted on the Colombo Stock exchange. Debenture type C and D of Rs.480,170,488/- were redeemed as at 31st March 2019, redeemed debenture details are given below.

Category	Period	No of Debentures	Face Value Rs.	Interest payable	Rate of Interest
Type ' C '	05 Years	3,510,000	351,000,000	Semi annually	Fixed rate of 16.5% per annum
Type ' D '	05 Years	2,772,000	129,170,488	Annually	Zero coupon Debentures with an annually compounding AER of 16.5%
		<u>6,282,000</u>	<u>480,170,488</u>		

- c) The debentures include 10,000,000 Unsecured Redeemable Listed Rated Debentures of Rs. 100/- each issued by the Company in December 2014. Debenture type A of LKR Rs.200,000,000 was redeemed on 29th December 2018. The Debentures are quoted on the Colombo Stock exchange. Remaining debenture details are given below.

Category	Period	No of Debentures	Face Value Rs.	Interest payable	Rate of Interest
Type ' B '	05 Years	8,000,000	800,000,000	Annually	9.35% per annum
		<u>8,000,000</u>	<u>800,000,000</u>		

41 OTHER FINANCIAL LIABILITIES

	Company 2019 Rs.	2018 Rs.	Group 2019 Rs.	2018 Rs.
Accrued expenses	97,827,572	126,899,043	77,994,219	123,217,073
Trade creditors	549,608,436	215,925,477	549,608,436	215,925,477
Others	134,497,232	113,438,258	153,934,924	134,546,656
	<u>781,933,240</u>	<u>456,262,778</u>	<u>781,537,579</u>	<u>473,689,206</u>

Alliance Finance Company PLC
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	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
42 OTHER NON FINANCIAL LIABILITIES				
VAT payables	29,239,871	26,935,251	29,239,871	26,935,251
Other taxes payables	27,291,881	9,987,774	27,291,881	9,987,774
	<u>56,531,752</u>	<u>36,923,025</u>	<u>56,531,752</u>	<u>36,923,025</u>
43 DERIVATIVE FINANCIAL LIABILITIES				
Foreign currency swaps	99,770,779	39,238,389	99,770,779	39,238,389
	<u>99,770,779</u>	<u>39,238,389</u>	<u>99,770,779</u>	<u>39,238,389</u>
44 INCOME TAX LIABILITY				
Receivable from Inland Revenue Department	(75,428,912)	(70,144,304)	(83,158,437)	(75,132,722)
ESC paid	(27,019,662)	(51,083,372)	(27,393,234)	(51,473,132)
Current tax liabilities	245,322,832	146,231,978	256,492,414	153,242,525
	<u>142,874,258</u>	<u>25,004,302</u>	<u>145,940,743</u>	<u>26,636,671</u>
44.1 Movement of Current Tax Liability				
Balance as at 01st April	25,004,302	108,212,452	26,636,671	111,659,369
Current tax based on profit for the year	245,322,832	146,231,978	256,492,414	153,242,525
Previous year WHT written-off	10,546	52,653	10,546	52,653
Over/under provision in respect of previous years	(5,788,748)	(127,402,223)	(5,788,748)	(127,402,223)
Payment of tax	(121,674,674)	(102,090,558)	(131,410,140)	(110,915,653)
Balance as at 31st March	<u>142,874,258</u>	<u>25,004,302</u>	<u>145,940,743</u>	<u>26,636,671</u>
	(0.25)	#REF!	(0.29)	#REF!
45 RETIREMENT BENEFIT OBLIGATIONS				
<u>Retirement Benefit Obligations - Gratuity</u>				
45.1 Liability Recognized in the Statement of Financial Position				
Balance at the beginning of the year	64,596,330	80,145,738	66,191,109	81,419,780
Amount charged/(reversed) for the year (Note - 45.2)	24,011,758	35,138,107	24,360,995	35,458,844
Transfer to gratuity trust fund	(31,843,394)	(27,175,593)	(31,843,394)	(27,175,593)
Payments made during the year	<u>(26,065,445)</u>	<u>(23,511,922)</u>	<u>(26,065,445)</u>	<u>(23,511,922)</u>
Balance at the end of the year	<u>30,699,249</u>	<u>64,596,330</u>	<u>32,643,265</u>	<u>66,191,109</u>
45.2 Amount Recognised in Profit or Loss				
Current service cost for the year	25,599,139	24,701,894	25,852,227	24,927,468
Interest cost for the year	28,674,750	28,112,895	28,850,176	28,253,013
Expected return on plan assets	<u>(21,580,704)</u>	<u>(18,506,207)</u>	<u>(21,580,704)</u>	<u>(18,506,207)</u>
	<u>32,693,185</u>	<u>34,308,582</u>	<u>33,121,699</u>	<u>34,674,274</u>
Amount Recognised in Other Comprehensive Income				
Net actuarial gains/ (losses)	(8,681,427)	829,525	(8,760,704)	784,570
Amount Charged for the Year	<u>24,011,758</u>	<u>35,138,107</u>	<u>24,360,995</u>	<u>35,458,844</u>

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

As at 31st March 2019

45.3	Changes in the Present Value of Obligation	Company		Group	
		2019	2018	2019	2018
		Rs.	Rs.	Rs.	Rs.
	Present value obligation as at 01st April	260,784,547	234,364,127	260,784,547	234,364,127
	Interest cost	28,674,750	28,112,895	28,674,750	28,112,895
	Current service cost	25,704,139	24,701,894	25,704,139	24,701,894
	Benefits paid / payable	(26,170,445)	(23,511,922)	(26,170,445)	(23,511,922)
	Actuarial (Gain) / Loss	(11,765,313)	(2,882,447)	(11,765,313)	(2,882,447)
	Present value obligation as at 31st March	277,227,678	260,784,547	277,227,678	260,784,547

45.4 Movement in the Present Value of Plan Assets

Value of plan assets as at 01st April	196,188,217	154,218,388	196,188,217	154,218,388
Expected return on the plan assets for the period	21,580,704	18,506,207	21,580,704	18,506,207
Contribution paid to the plan	31,843,394	27,175,595	31,843,394	27,175,595
Actuarial gain/(loss) on plan assets	(3,083,886)	(3,711,973)	(3,083,886)	(3,711,973)
Value of plan assets as at 31st March	246,528,429	196,188,217	246,528,429	196,188,217

45.5 Assumptions

Discount rate	11%	11%	11%	11%
Salary scale	8.50%	9.00%	8.50%	9.00%
Mortality table	A 67/70	A 67/70	A 67/70	A 67/70
Staff turnover	18%	17%	18%	17%

Retirement age	Normal retirement age, or age on valuation date, if greater.
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An actuarial valuation of the gratuity was carried out as at 31st March 2019 by Actuarial & Management Consultants (Pvt) Limited, a firm of professional actuaries. The valuation method used by the actuary to value the Fund is the "Projected Unit Credit Method", recommended by LKAS 19.

Alliance Finance Company PLC
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As at 31st March 2019

46 DEFERRED INCOME TAX ASSETS AND LIABILITIES

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
<u>Deferred tax liabilities</u>				
Balance at 01st April	981,828,524	457,419,634	981,871,560	457,460,593
Recognised in profit & loss	(305,234,919)	196,202,848	(305,202,383)	196,204,925
Recognised in revaluation surplus	(69,210,000)	328,206,042	(69,210,000)	328,206,042
Balance as at 31st March	607,383,605	981,828,524	607,459,177	981,871,560
<u>Deferred tax assets</u>				
Balance at 01st April	647,838,785	511,884,241	648,285,324	512,240,973
Deferred tax on SLFRS 9 transitional adjustments	7,803,726	-	7,803,726	-
Adjusted balance as at 01st April 2018	655,642,511	511,884,241	656,089,050	512,240,973
Recognised in profit & loss	(362,088,465)	135,722,277	(361,990,679)	135,812,084
Recognised in other comprehensive income	(2,430,800)	232,267	(2,430,800)	232,267
Balance as at 31st March	291,123,246	647,838,785	291,667,571	648,285,324
Deferred tax liabilities/(asset) -net	316,260,359	333,989,739	315,791,606	333,586,236

46.1 Recognised Deferred Tax Assets and Liabilities

Liabilities				
Accelerated depreciation - Own assets	21,800,638	-	21,876,210	43,037
- Leased assets	4,724,133	3,284,503	4,724,133	3,284,503
Lease rentals	321,862,792	650,337,979	321,862,792	650,337,979
Recognised in revaluation surplus	258,996,042	328,206,042	258,996,042	328,206,042
	607,383,605	981,828,524	607,459,177	981,871,560
Assets				
Defined benefit obligation	8,595,790	18,319,240	9,140,114	18,765,779
Own assets	-	8,165,013	-	8,165,013
Others	274,723,731	23,395,088	274,723,731	23,395,088
Deferred tax on SLFRS 9 transitional adjustments	7,803,726	-	7,803,726	-
Tax loss carried forward	-	597,959,444	-	597,959,444
	291,123,247	647,838,785	291,667,571	648,285,324

47 STATED CAPITAL

	Company		Group	
	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
47.1 Issued and Fully Paid-Ordinary shares				
Ordinary shares	613,980,000	613,980,000	613,980,000	613,980,000
	613,980,000	613,980,000	613,980,000	613,980,000
47.2 Number of Shares				
Balance as at 01 April	33,696,000	33,696,000	33,696,000	33,696,000
	33,696,000	33,696,000	33,696,000	33,696,000

47.3 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

Shares in the Alliance Finance Company PLC are quoted in the Colombo Stock Exchange.

48 RETAINED EARNINGS

	Company		Group	
As at 31st March	2019	2018	2019	2018
	Rs.	Rs.	Rs.	Rs.
As at 01st April	1,499,976,696	1,147,080,447	1,518,254,751	1,192,724,704
Impact of adopting SLFRS 9	(20,066,724)	-	(20,066,724)	-
Dividend paid	(75,816,000)	(213,969,600)	(75,816,000)	(213,969,600)
Profit for the year	306,189,769	709,329,107	323,784,550	681,934,161
Adjustment on actuarial gain / (losses) on defined benefit plan	6,250,627	(597,258)	6,301,317	(568,514)
Transfers to statutory reserve fund	(61,238,000)	(141,866,000)	(61,238,000)	(141,866,000)
As at 31st March	<u>1,655,296,368</u>	<u>1,499,976,696</u>	<u>1,691,219,894</u>	<u>1,518,254,751</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

49 RESERVES

	Company			Group		
As at 31st March	2018	Transfers	2019	2018	Transfers	2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Available for sale reserve	5,358,466	(5,358,466)	-	5,358,466	(5,358,466)	-
Capital reserve (Note 49.1)	949,199,546	69,210,000	1,018,409,546	949,199,546	69,210,000	1,018,409,546
General reserve	388,258,055	-	388,258,055	388,258,055	-	388,258,055
Statutory reserve fund (Note 49.2)	773,074,800	61,238,000	834,312,800	773,074,800	61,238,000	834,312,800
	<u>2,115,890,867</u>	<u>125,089,534</u>	<u>2,240,980,401</u>	<u>2,115,890,867</u>	<u>125,089,534</u>	<u>2,240,980,401</u>

49.1 Capital Reserve - Revaluation Reserve

The Capital Reserves represents the increase in the fair value of the land & buildings at the date of revaluation. The Company revalues its freehold lands and buildings in every three to five years, unless significant changes in fair values indicate it may be necessary to revalue freehold lands and buildings on an earlier date, to ensure that the carrying amounts do not differ materially from the fair values at the end of the reporting date.

The Company treats 50% of the revaluation surplus as supplementary capital in the Tier II Capital Base in the computation of the Risk Weighted Capital Adequacy Ratio in accordance with the Central Bank of Sri Lanka, Finance Companies (Risk Weighted Capital Adequacy Ratio) Direction No.2 of 2006.

49.2 Statutory Reserve Fund

20% of profits after tax of 2019 is transferred to the Statutory Reserve Fund to fulfill the minimum requirement of the Section 3 (b) of Finance Companies (Capital Funds) Direction No.1 of 2003. This balance in the Statutory Reserve Fund will be used only for the purposes specified in the Finance Business Act, No.42 of 2011.

50 COMPARATIVE FIGURES

The following comparative figures have been reclassified in 2018 financial statements to maintain comparability of financial statements in order to provide better presentation.

Nature	Previous year classified under	Current year classified under	Amount (Rs.)
NBT on financial services	Other Operating expenses	Taxes on financial services	25,866,666

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2019

51 SEGMENT REPORT

51.1	31st March 2019	Leasing	Hire Purchase & Consumer Durables	Loans	Pawning	Hire of vehicles	Investing in Shares	Investing in Government Securities	Collaboration Finance	Others	Total
		Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
	REVENUE										
	External sales	13,772,592,971	38,099,735	1,727,362,883	372,628,650	37,006,705	(29,169,745)	144,197,530	9,555,901	257,428,589	16,329,703,220
	Inter-segment sales	-	-	-	-	-	-	-	-	-	-
	Total revenue	13,772,592,971	38,099,735	1,727,362,883	372,628,650	37,006,705	(29,169,745)	144,197,530	9,555,901	257,428,589	16,329,703,220
	Total income	4,806,176,442	9,014,348	1,726,832,570	372,628,650	37,006,705	(37,593,331)	144,197,530	11,635,261	257,428,589	7,327,326,765
	RESULTS										
	Segment results	3,641,831,390	(6,239,725)	872,918,236	315,163,513	24,473,724	(70,988,967)	108,071,931	11,635,261	191,881,476	5,088,746,840
	Unallocated company expenses										(1,195,450,409)
	Operating profit										3,893,296,431
	Interest expense	(2,086,530,632)	(1,367,512)	(575,979,020)	(145,164,231)	(12,395,091)	(18,258,644)	(205,189,478)	(4,566,766)	(194,582,794)	(3,244,034,169)
	Share of profits of associates before tax										(8,893,804)
	Income taxes										(306,661,043)
	Net Profit										333,707,415
	OTHER INFORMATION										
	Segment assets	18,842,072,665	12,349,092	5,201,284,072	1,310,881,784	111,931,839	164,881,693	1,852,929,930	41,239,434	1,757,148,004	29,294,718,513
	Investment in associates										84,731,550
	Unallocated company assets										2,822,639,436
	Total assets										32,202,089,499
	Segment liabilities	16,621,445,714	10,499,447	4,422,236,728	1,114,538,158	95,166,709	140,185,744	1,575,398,436	35,062,599	1,493,962,709	25,508,496,245
	Unallocated company liabilities										2,117,602,211
	Total liabilities										27,626,098,456

Alliance Finance Company PLC

NOTES TO THE FINANCIAL STATEMENTS

For the year ended 31st March 2019

51 SEGMENT REPORT

51.2	31st March 2018	Leasing	Hire Purchase & Consumer Durables	Loans	Pawning	Hire of vehicles	Investing in Shares	Investing in Government Securities	Collaboration Finance	Others	Total
		Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
REVENUE											
External sales		11,727,114,616	137,018,890	2,073,864,254	254,261,678	35,098,091	13,223,647	154,005,538	5,266,279	132,880,876	14,532,733,868
Inter-segment sales		-	-	-	-	-	-	-	-	-	-
Total revenue		11,727,114,616	137,018,890	2,073,864,254	254,261,678	35,098,091	13,223,647	154,005,538	5,266,279	132,880,876	14,532,733,868
Total income		4,211,780,546	29,423,993	2,074,348,680	254,261,678	35,098,091	16,656,221	154,005,538	5,256,544	132,880,876	6,913,712,166
RESULTS											
Segment results		3,166,674,103	32,875,477	1,149,570,102	157,765,319	5,448,038	21,421,639	102,239,978	5,256,544	132,880,876	4,774,132,076
Unallocated company expenses											(786,248,260)
Operating profit											3,987,883,816
Interest expense		(1,918,884,812)	(6,819,940)	(811,954,194)	(132,399,190)	(17,952,070)	(24,744,757)	(170,997,993)	(2,674,089)	(115,703,752)	(3,202,130,797)
Share of profits of associates before tax											(359,463)
Loss on change of interest in associate											(11,040,075)
Income taxes											(86,233,145)
Net Profit											688,120,337
OTHER INFORMATION											
Segment assets		17,553,965,443	62,388,835	7,427,760,007	1,211,188,288	164,225,601	226,365,132	1,564,290,280	24,462,573	1,058,458,356	29,293,104,515
Investment in associates											57,362,904
Unallocated company assets											2,498,805,863
Total assets											31,849,273,281
Segment liabilities		15,056,309,985	50,799,943	6,048,033,818	986,206,840	133,720,259	184,317,206	1,273,719,197	19,918,585	861,846,899	24,614,872,733
Unallocated company liabilities											2,966,415,635
Total liabilities											27,581,288,368